

Tragedy and Hope

Egypt's Petroleum Sector in Light of the Economic Programs of Presidential Hopefuls.

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BP to Resume Operations in Libya

Weatherford's Microflux™ Control System

Bullion Market			
GOLD		SILVER	
Price	Percentage	Price	Percentage
1650.85	-1.51%	31.54	-4.25%

Crude Oil			
USD/BBL	WTI	Price	Percentage
	BRENT	103.39	-2.67%
		120.42	-3.23%

EGYPT OIL & GAS NEWSPAPER

HIGHLIGHT

Egypt Evaluates \$6 Million in Downstream Projects

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EGAS 2012 Bid Round

Bold Modifications to Lure Bold Investments

Geologist Mostafa El-Bahr, EGAS Vice Chairman for Exploration and Agreements talks to Egypt Oil & Gas about the new Bid Round and Future of Mediterranean E&P

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Egypt News

Eni Strikes Giant Western Desert Oil Discovery



Italian petroleum operator Eni has made a major oil discovery at the Emry Deep exploration prospect, located in the Meleiha Concession, in the Western Desert of Egypt. The drilling of the well is part of Eni's strategy to refocus exploration activities in Egypt by targeting deeper plays in the Western Desert.

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Egypt News

Dana Petroleum Drills Two New Gulf of Suez Wells

Dana Petroleum has completed two successful exploratory wells in North Zeit Bay onshore the Gulf of Suez. The endeavor comes in consistence with company's drilling plan for the 2011-2012 fiscal year.



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The Act Before Last

We Egyptians love drama, and much to our fortune, the SCAF has provided us with one of the most engaging theatrical shows we've seen yet. Recapping the previous scenes of this masterfully produced one-and-a-half-year play, the finale never seemed more predictable, just like most Egyptian drama shows.

The opening scene, where the heroic armed forces "rescue" the revolution from the yoke of the oppressive regime was well-received by the audience, we cheerfully celebrated our unity, strength and perseverance. We were proud of our determination and energy that prevailed against the forces of evil, riding the cusp of a high and beautiful wave.

The show resumed with the referendum on amending the 1971 constitution; the SCAF granted the people their "democratic" right to vote on whether they're for or against the proposed 7 amendments. The majority voted yes, much to the SCAF's pleasure, not fully comprehending the gravity of their choice, which was unanimously rued later. After which, a constitutional declaration was issued that included those 7 articles, along with an assortment of articles that the SCAF saw as perfectly fitting for the transitional period.

Let us not forget that between each scene, a massacre here, a shortage of fuel there, otherwise how will the SCAF keep the audience engaged during intermissions?

Once again the curtains drew, this time to a very critical scene,

the Higher Presidential Elections Commission, the judicial body managing the electoral process, headed by the Mubarak-appointed Chairman of the Supreme Constitutional Court of Egypt, Farouk Sultan. Not as subtle of a move compared to prior ones, given his well-known notorious history in the echelons on the Egyptian judicial system. This politicized band of jurists filtered presidential hopefuls as they saw fit, sometimes adhering to the law, other times ignore it, with the ultimate goal of preserving the interest of the SCAF; the only disqualified presidential candidate who was allowed to re-enter the race was Air Marshall Ahmed Shafik...coincidence?

Still, the conflicted nature of the Egyptian voter remained hopeful, assuming the best of intentions, and partook in the act before last, the first round of the presidential elections, the results of which were utterly depressing for the majority of voters.

The first round has successfully reproduced the pre-revolution status, the old regime on one end, the Muslim Brotherhood on the other. As for the revolution, well that cause was lost the day the SCAF took charge.

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Register Before 15-6-2012

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Agiba Drills Two New Wells

Agiba Petroleum has completed the drilling of two new Western Desert wells during the month of March. The endeavor came in the context of Agiba's development plan for 2011/2012 fiscal year.

East Aghar 11 is a developmental well located in the West Razzak development lease in Abu Gharadiq Basin. Sources revealed that drilling investments in the new crude-producing well amounted to \$580,000. It was drilled to the depth of 6,500 feet via the PDI-147 rig.

The company also spudded AGHAR NN-1X, an exploratory well costing \$1.06 million in drilling investments. This operation also employed the PDI-47 rig, reaching the depth of 6,430 feet.

During March 2012, Agiba production figures stood at 1,181,446

barrels of crude oil, 3,369 barrels of condensate and 61,786 barrels of oil equivalent of natural gas.

Agiba is a joint venture company that includes IEOC with 40% interest, Mistui with 10%, and the Egyptian General Petroleum Corporation (EGPC) holding the remaining 50%.



Edison Expands in Wadi El-Rayan



The Italian Edison Gas has concluded the drilling of a new exploratory well last April, located in the Wadi El-Rayan concession in the Western Desert. The operation comes in the context of the company's 2011-2012 drilling plan.

The new RAYAN 2X-A is an oil-producing well. It was drilled using the EDC-67 rig to the depth of 4,400 feet, attracting \$2.393 million in drilling investments. Edison has

temporarily plugged the well until further appraisal.

Edison operates in Egypt through Abu Qir Petroleum, a jointly owned company in conjunction with Egyptian General Petroleum Corporation (EGPC), each owning 50%.

Abu Qir's production rates during the month April of 2012 stood at 175,546 barrels of condensate and 1,432,041 barrels of oil equivalent of natural gas.

Apache Spuds Dry Hole in Sallum

American operator Apache Corporation drilled a new exploratory well last march, situated in the Western Desert. The operation comes in consistency with Apache's drilling plan for the 2011-2012 fiscal year.

Sources revealed that the well SALLUM D-1X was drilled to a depth of 13,100 feet using the EDC-1 rig, with drilling cost amounting to \$2.852 million. The company abandoned the well as a dry hole.

Apache Corporation is an oil exploration and development company with operations in various countries including the US, Australia, Canada, Argentina, the UK, and Egypt. The company produces an approximate 265,000 barrels of oil and 1.5 billion cubic feet of natural gas per day. The company operates in Egypt through Khalda Petroleum and Qarun Petroleum, both of which are jointly owned by the Egyptian General Petroleum

Corporation (EGPC).



Bapetco Drills Two New Developmental Wells

Badr El Din Petroleum Company (Bapetco) has completed drilling two new developmental wells in its Western Desert concession area as part of its development plan for the 2011/2012 fiscal year.

Egypt Oil and Gas has learned that the oil-producing BED-1-27 was drilled via the EDC-42 rig, reaching the depth of 12,789 feet. Drilling investments in the well have reached \$3.091 million. The new oil-producing well has been added to the com-

pany's overall production numbers.

In the Sitra development lease located in Abu Gharadiq Basin, Bapetco drilled SITRA 8-19. It was drilled using the EDC-72 rig to a depth of 11,644 feet. Costs of the operation amounted to \$2.541 million and the well has yet to be added to the company's overall production figures.

The company's production rates during the month of April 2012 stood at 745,817 barrels of crude oil, 352,803 barrels of condensate and

2,120,893 barrels of oil equivalent of natural gas.

During the previous fiscal year, Bapetco successfully drilled 34 wells, and the company is looking to drill 44 exploratory and developmental wells in the current fiscal year 2011/2012 in order to boost total production of crude oil and natural gas.

Bpetco is a joint venture company between the Egyptian General Petroleum Corporation (EGPC) and Royal Dutch Shell.

Dana Petroleum Drills Two New Gulf of Suez Wells

Dana Petroleum has completed two successful exploratory wells in North Zeit Bay onshore the Gulf of Suez. The endeavor comes in consistency with company's drilling plan for the 2011-2012 fiscal year.

East Matr-1X, was drilled with the ST 1 rig, reaching a total depth of 5,800 feet. On 27 March, the upper interval of Rahmi sand in the Kareem formation tested oil and gas, with a maximum stabilized flow rate of 6,153 barrels of oil and 6.29 million cubic feet of gas per day.

Following the success of East Matr-1X, Dana then drilled an adjacent fault block with the North Matr-1X exploration well, reaching a total depth of 7,040 feet in the Kareem formation.

The well encountered a 22-foot sand in the Kareem formation, which

tested oil and gas with a maximum stabilized rate of 3,630 barrels of oil and 4.35 million cubic feet of gas per day, constrained by surface testing facilities.

Dana Petroleum's Managing Director in Egypt, Nick Dancer, stated, "Not only are we very pleased to have drilled two successful exploration wells in quick succession, with excellent reservoir characteristics, we are also pleased with Zeitco's commitment to rapid tie back and first oil for these wells. Dana plans to invest US\$169 million in Zeitco this year to continue our successful partnership with the Egyptian General Petroleum Corporation."

During April of 2012, Zeitco produced 115,011 barrels of crude oil, 735 barrels of condensate and 8,488 barrels of oil equivalent of natural

gas.

Zeitco is an Egyptian joint venture company formed to operate the North Zeit Bay concession, on behalf of the equal shareholders, the Egyptian General Petroleum Corporation (EGPC) and Dana Petroleum. Dana Petroleum has a 100% working interest in the North Zeit Bay concession.



Eni Strikes a Major Western Desert Oil Discovery

Italian petroleum operator Eni has made a major oil discovery at the Emry Deep exploration prospect, located in the Meleiha Concession, in the Western Desert of Egypt. The drilling of the well is part of Eni's strategy to refocus exploration activities in Egypt by targeting deeper plays in the Western Desert.

The Emry Deep 1X well led to the discovery of oil and was drilled to a total depth of 11,902 Feet. The well encountered over 250 feet of net pay in multiple good-quality sandstones of the Lower Cretaceous 'Alam El Bueib' Formation.

According to Eni, "The new discovery is now estimated to range between 150

and 250 million barrels of oil in place and will require further appraisal drilling.

This result confirms that the Meleiha concession still holds significant untapped deep exploration potential and that the recently acquired 3D seismic survey has boosted the potential of the deep Lower Cretaceous and Jurassic formations."

Eni owns a 56% working interest in the Meleiha Concession through its affiliate, International Egyptian Oil Company (IEOC), with partners Lukoil Overseas holding 24% and Mitsui holding 20%. Agiba, the operator of the

Emry Deep project, is a joint operating company owned by IEOC with 40% interest, Mitsui holding 10% and Egyptian General Petroleum Corporation (EGPC) with 50%.

Eni, through its fully owned affiliate IEOC, "has been present in Egypt since 1954 and is the largest foreign energy player in Egypt. In 2011, the company's oil and natural gas equity production averaged approximately 240,000 barrels of oil equivalent per day. In the Western Desert, Eni's activities are currently producing around 36,000 barrels of oil per day from 5 different development leases, all operated by Agiba."



Norpetco Drills Two Developmental Wells

The North Baharia Petroleum Company (Norpetco) concluded drilling activities for two new developmental wells in the Western Desert development lease. The operations come in the context of the company's drilling plan for the current fiscal year 2011-2012.

At a cost of \$1.32 million, the oil-producing ABRAR-5 was drilled to a depth of 6,682 feet via the ECDC-2 rig.

The company also completed ABRAR-7, which is oil-producing as well. It was drilled

to a depth of 6,800 feet using the ECDC-2 rig. Drilling investments have totaled \$1.505 million and the well is currently in the appraisal stage.

Norpetco's production indicators during last April stood at 593,793 barrels of crude oil.

The North Baharia Petroleum Company is a joint venture between the Egyptian General Petroleum Corporation (EGPC) and Sahari Oil Company.

Further Western Desert Development by Qarun

In consistence with its development plan for the 2011-2012 fiscal year, Qarun Petroleum has completed the drilling of two new developmental wells in its concession area located in the Western Desert.

Sources have revealed that the first well, HEBA-501, which located in the East Bahariya West development lease, spurred investments totaling \$1 million. The drilling operation was conducted to a depth of 6,510 feet, using the EDC-63 rig. The oil-producing well has yet to be added to the company's overall production rates.

The second developmental well, YOMNA-24 is also oil-producing. It was drilled to a depth of 4,900 feet via the EDC-64 rig. Drilling investments in the well, which has not yet been added to Qarun's overall production rates, have reached \$500,000.

Over the course of last April, Qarun Petroleum reported production of 1,654,285 barrels of crude oil.

Qarun Petroleum Company is a joint venture between the Egyptian General Petroleum Corporation (EGPC) and American petroleum operator Apache.

Naftogaz Hits Dry in the Western Desert

Ukrainian state-owned operator Naftogaz completed the drilling of NHG 2/1 ST-1 last April, which is located in the company's Western Desert concession.

Sources revealed that the company invested \$7.3 million in drilling the new exploratory oil well. Using the ST-11 rig, the well was drilled to a vertical depth of 17,398 feet, then plugged and abandoned as a dry hole.

Naftogaz operates in the Western Desert through PetroSenan, a jointly owned company with the Egyptian General Petroleum Corporation (EGPC). Over the month of April, PetroSenan's production figures stood at 38,851 barrels of crude oil.

Naftogaz also operates through another joint-venture with Ganoub Al-Wadi Petroleum Holding Company (GANOPE.)

Dana Gas Group Reports 14% Increase in Gross Revenue

Dana Gas Egypt, a subsidiary of the Emirati Dana Gas Group, has completed the drilling of a new exploratory well in the company's Upper Egypt concession area in Komombo, located north of the city of Aswan. The new well comes in the consistence with the company's drilling plan for the 2011-2012 fiscal year.

Egypt Oil and Gas has learned that the new well, labeled West ALBARAKA-2, is an oil-producing well. It was spudded on the 30th of March 2012 using the ECDC-1 rig, reaching a total depth of 4,070 feet on the 6th of April. Drilling investments in the well amounted to \$1.150 million, which is currently in the appraisal stage; a reservoir-fracturing test will be run in June to optimize the production rates and assess the hydrocarbon potential.

Dana Gas Egypt has a 50% working interest in the Komombo Concession, which is jointly operated with Sea Dragon Energy.

According to Dana Gas Group's 2012 Q1 report, the company's net profit after tax is \$56.085 million, more than double that reported in the first quarter of 2011.

Dana Gas Egypt produced gas, LPG, conden-

sate and crude oil at an average rate of 34,500 barrels of oil equivalent per day in the first quarter. Production is expected to increase later in the year as compression facilities and new production wells are added, and two new fields are brought on stream.

Commenting on the Q1 report results, Chief Executive Officer of Dana Gas Group Ahmed Al-Arbeed added, "We have maintained strong levels of net production in the first quarter. Good progress is being made on our drilling program in Egypt, with one new field discovery (the West Al Baraka Field) in the South of the country. We plan to drill further exploration and development wells in Northern Egypt. I am also pleased to report that the commissioning and start-up of the Natural Gas liquids plant in Ras Shukheir (Egypt) is advancing well and should be operational in Q2 of this year."

The group reported a 14% increase in earnings before interest, tax, depreciation, amortization and exploration (EBITDAX), which amounted to \$124.966 million. The revenue collections attributable to the Group during the quarter were \$91.206 million of which \$52.273 million were collected in Egypt.

Choice Words



“ The Petroleum Sector is planning to re-explore in the mature & deep areas, especially after the development of modern technologies, which can be used to increase oil extraction rates from reservoirs, from 25% to 60% ”

Eng. Abdallah Ghorab, Minister of Petroleum



“ The priority in the selection criteria for new bid round, especially in the areas of offered in the Leviathan Basin, is to the investor with the most aggressive exploration plan ”

Mostafa ElBahr, EGAS' Vice Chairman for Agreements and Exploration



“ Would the Ministry consider some radical initiatives, breaking away from the PSC environment, to allow better terms or a form of tax relief on failed exploration, to encourage a higher level of activity? ”

Nick Dancer, Country Manager of Dana Petroleum



“ The current terms and conditions don't take account of the cost of offshore exploration and development and therefore stand in the way of economic development ”

Jeroen Regtien, Chairman of Shell Companies in Egypt, commenting on the obstacles of Deepwater Development in Egypt



“ The new minister should form a committee of industry experts from the public and private sectors to plan and strategize the optimum sustainability of the sector ”

Shawki Abdeen, Chairman of PICO International

Petrobel Production Witnesses Several Shifts

Belayim Petroleum Company (Petrobel)'s production of oil and natural gas has seen substantial ups and downs during the period between November 2011 and April 2012, as revealed by the detailed analytical report conducted by Egypt Oil and Gas to determine the company's production performance.

The analysis disclosed that Petrobel's highest production numbers for crude oil and condensates during the specified period were achieved in the month of January, in which the company produced 4,186,036 barrels of crude and condensates. The lowest monthly production achieved during the same six-month period was 3,107,517 barrels, produced in November.

Production for natural gas, meanwhile, peaked in the month of December with 9,900,433 barrels of oil equivalent, while it hit its lowest in February with 8,999,906 barrels of oil equivalent.

The company's production of crude oil and condensates during the period designated for analysis averaged 3,579,735 barrels per month, while natural gas production averaged at a monthly 9,537,597 barrels of oil equivalent.

Production figures for the month of April 2012 stood at 3,970,741 barrels of crude oil and condensates and 9,351,432 barrels of oil equivalent of natural gas.

Petrobel's recent drilling efforts included four oil-producing developmen-

tal wells in the company's development lease in the Sinai area, in the context of its 2011-2012 development plan.

The BLSW-3 well was drilled at a depth of 11,310 feet using the ST-12 rig, an operation that accumulated costs of \$3.303 million.

The ARMW-5 was drilled via the EDC-5 rig to 11,214 feet, at a cost of \$6 million. The well has yet to be added to Petrobel's overall production numbers.

The well labeled 183-113 was drilled using the ST-3 well to a vertical depth of 8,547 feet. Costs of drilling the well amounted to \$2 million, but it has also not been to the company's overall production.

Using the same ST-3 rig, Petrobel also drilled the 113-184 well at a total cost of \$2.628 million, to a depth of 8,416.

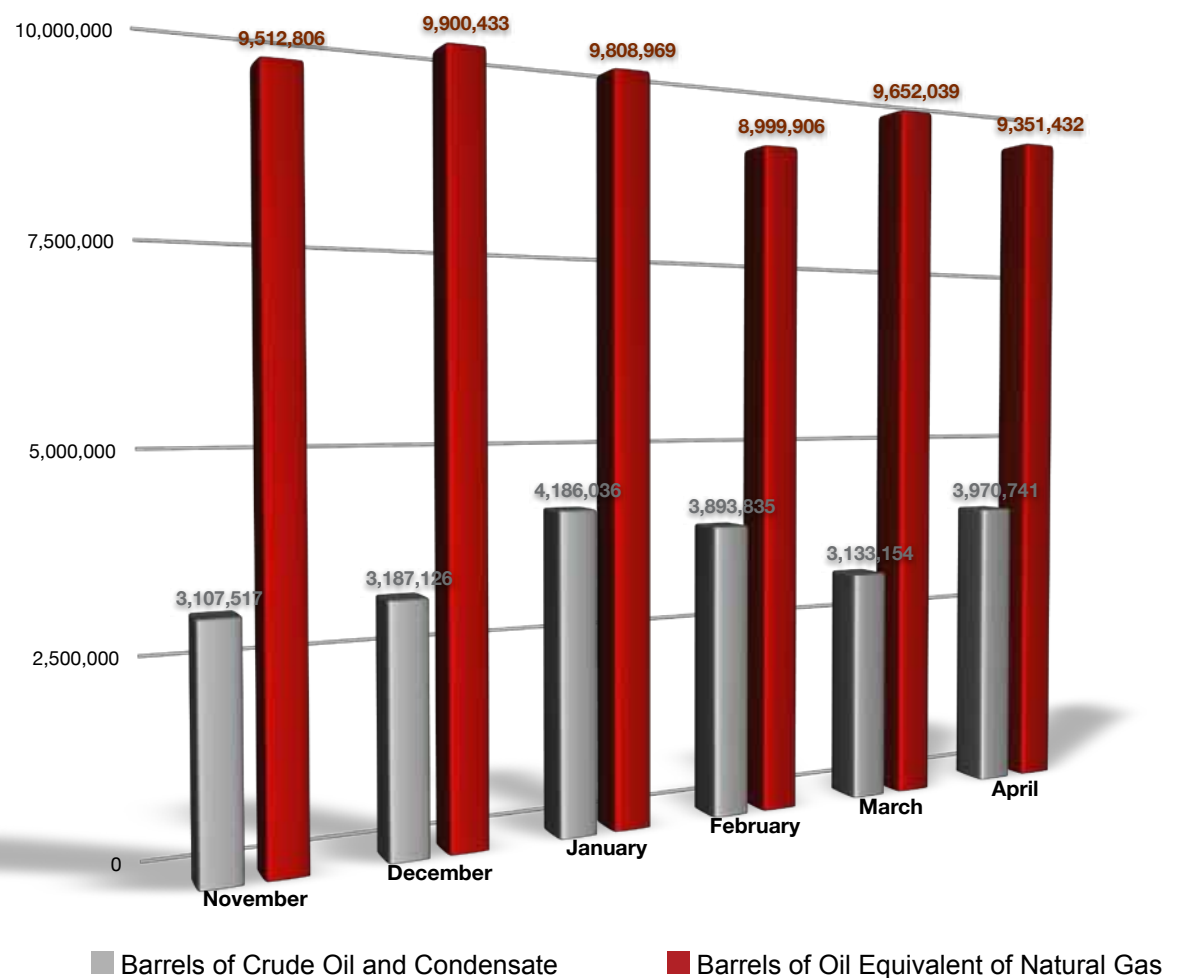
Petrobel also concluded drilling operations for two exploratory wells in the company's Mediterranean Sea concession, the PLIO IC well and the BALTIM N-7 ST-1 well.

PLIO IC was drilled using the SCARABE-4 rig to depth of 6,726, encountering natural gas, and was temporarily plugged. Investment in the operation amounted to \$18.5 million.

BALTIM N-7 ST-1, a natural gas-producing well, was drilled using the ALQAHR2 rig at a cost of \$41.345 million, reaching a depth of 14,679 feet.

Petrobel is a joint-venture between the Egyptian General Petroleum Corporation (EGPC) and Italian oil firm Eni.

Petrobel Production Figures from November 2011 to April 2012



GPC Production Numbers Indicate Steady Trend

The General Petroleum Company (GPC) of Egypt has managed consistent production figures in the six-month period of November 2011 to April 2012.

Egypt Oil and Gas's analytical report detailing the company's production of crude oil and condensates as well as natural gas revealed stable numbers for the selected period, as production of crude oil and condensates peaked at 1,309,505 barrels in December 2011, while hitting its lowest point in April of the current year with 1,221,475 barrels.

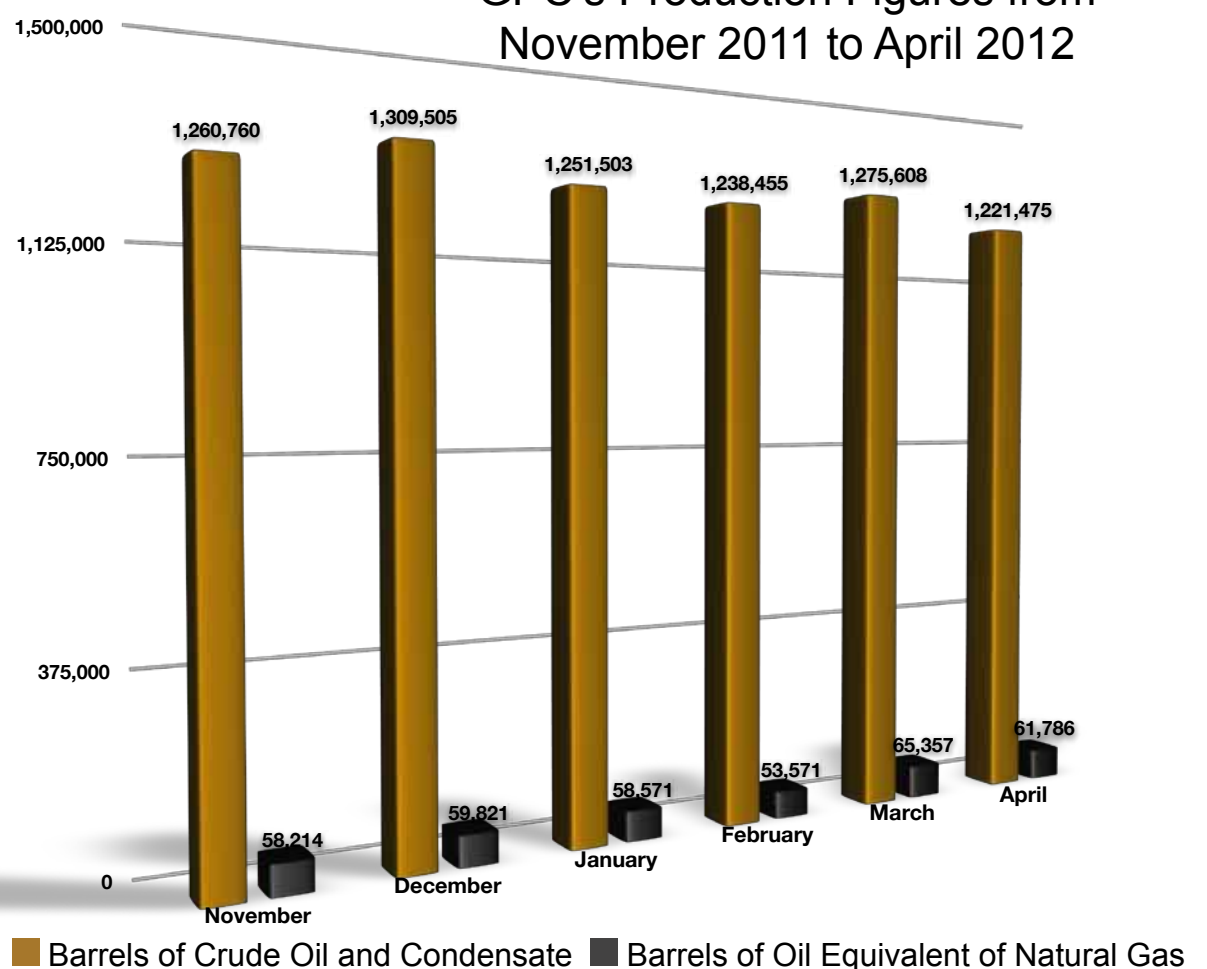
Similarly, production of natural gas was mostly steady, reaching its highest (during the specified analysis period) in March with 65,357 barrels of oil equivalent produced, and never dipping below the 58,000 barrel mark with the exception of the month of February, in which it reached its

lowest at 53,571 barrels of oil equivalent.

GPC's production of crude oil and condensates in the period of November 2011-April 2012 was at an average of 1,259,551 barrels per month, while natural gas production averaged 59,553 barrels of oil equivalent.

Among the areas in which the company conducts exploration and drilling operations are the Ras Ghareb, Ras Shukheir, Ras Issaran and Ras Dib areas of the Eastern Desert, as well as in the Burren North Lagia area and areas along the Egypt-Israel border in Sinai, in addition to areas in the region of the Gulf of Suez.

GPC's Production Figures from November 2011 to April 2012



NOSPCO Drills New Mediterranean Well



North Sinai Petroleum Company (NOSPCO) has completed the drilling of a new developmental well in the company's concession in the Mediterranean Sea. The well, labeled TAO-3TWIN, is part of NOSPCO's development plan for the 2011-2012 fiscal year.

Drilling was conducted using the SEN-SURT rig to a depth of 9,581 feet, with drilling investments amounting to \$8.538

million. The natural gas-producing well has yet to be included in the company's overall production numbers.

The company's production figures during the month of April stood at 341,429 barrels of oil equivalent of natural gas.

NOSPCO is a joint venture between the Egyptian General Petroleum Corporation (EGPC) and French operator Preenco.

Petrodara Accelerates Eastern Desert Development

Dara Petroleum Company (Petrodara) has concluded the drilling of four new developmental wells in its Arta East concession, situated in the Gulf of Suez Basin. The endeavor comes in the context of the company's developmental plan for the fiscal year 2011-2012.

With \$1 million in drilling investments, the company drilled ARTA-58. The oil-producing well was drilled to a depth of 3,542 feet via the EDC-62 rig.

The ARTA-37 well was drilled using the ST-7 rig, reaching a total depth of 4,198 feet. The cost of drilling the oil-producing well amounted to \$850,000.

ARTA-42 was drilled to the depth of 4,010 feet. The well is also oil-producing,

and cost \$635,000 in drilling, which was conducted using the EDC-62.

The company also drilled the ARTA-60 well with investments amounting to \$650,000. Drilling reached a total depth of 4,605 feet, utilizing the EDC-62 as well.

At the end of last April, Petrodara's production figures stood at 361,890 barrels of crude oil.

Dara Petroleum is a joint-venture company between the Egyptian General Petroleum Corporation (EGPC) and TransGlobe Energy Corporation, an international exploration and production company based in Calgary, Alberta, Canada.



Khalda Expands Western Desert Portfolio

Khalda Petroleum Company has concluded the drilling of four new wells in the Western Desert in consistence with the company's drilling plan for the 2011-2012 fiscal year.

Sources revealed that SHADOW 1X, an exploratory oil-producing well, was spudded via the ST-10 rig and was drilled to a depth of 13,200 feet. Drilling investments averaged \$4 million, and production figures have yet to be added to the company's total production numbers.

In the company's Razzak Main field lease, located in the Alamein Sub-basin, the company drilled the developmental well M.RZK-96, costing \$780,000. The oil-producing well was drilled to a depth of 6,522 feet using the EDC-65 rig and hasn't been added to Khalda's overall production either.

In the company's Kahraman C field located in Shoushan Sub-basin, the company drilled the KAH UC-170 developmental well. It was drilled using the EDC-41 rig reaching the depth of 11,250 feet, and amassing costs of \$2.118 million. Thus far, the well's production numbers have not been added to the Khalda's overall production figures.

Egypt Oil and Gas has also learned that AG-57 ST-2, a developmental oil-producing well located in the company's Abu El Gharadiq South field concession in the Western Desert, was drilled to the depth 11,600 feet using the EDC-3 rig. Drilling investments of the new well have amounted to \$850,000.

Eng. Osama Al-Bakly, Khalda Petroleum's Chief Executive Officer, has referred to the company's success in raising its daily production levels to 160,000 barrels of oil, an average of 148,000 barrels of condensate and 870 million cubic feet of sold natural gas, which constitutes a significant 123% of the company's production plan for the current fiscal year.

Al-Bakly added that the company increased its natural gas production to reach 291 billion cubic feet this year, with an average of 789 million cubic feet per day, achieving a difference of 27 billion cubic feet from last year's numbers, which is %106 of the current production plan.

During April of 2012, Khalda's production figures stood at 3,328,934 barrels of crude oil, 1,044,576 barrels of condensate and 4,290,893 barrels of oil equivalent of natural gas.

Khalda Petroleum is a joint venture company between the Egyptian General Petroleum Corporation (EGPC) and US-based



PetroAmir Invests \$5.1m in a New Eastern Desert Well



PetroAmir, a joint venture company between the Egyptian General Petroleum Corporation (EGPC) and the Greek operator Vegas Oil & Gas, has completed the drilling of a new developmental well in the North West Gemsa concession located in Gulf of Suez Basin of the Eastern Desert. The operation comes as part of the company's development plan for the 2011-2012 fiscal year.

The new oil-producing well, AASE-11X ST1, was drilled via the ST-9 rig to the Kareem formation, reaching a total depth of 11,160 feet. The well encountered 42 feet of net pay in the Kareem Shagar sand and 22 feet in the underlying Rahmi sand with oil-bearing sands present to the base of the reservoir.

The completion for the well as a Shagar sand producer has been installed and the Shagar zone perforated in the interval 10,730-10,780 feet and flowed oil and gas on test at an average rate of 3,500 barrels of oil per day and 2.64 million cubic feet per day respectively.

The cost of drilling the well has totaled \$5.064 million, and it has now been placed on production at an initial flow rate of 1,635 barrels of oil per day.

Following the successful completion of the AASE-11X ST1 well, the rig has been mobilized to drill the appraisal well AASE-12X, which is located in the south central part of the AASE field.

The well is expected to be an infill Kareem sand producer, located midway between AASE-5X and Al Ola-1 wells. The well was spudded on the 25th of April 2012 and is currently drilling ahead at 2,000 feet in the Zeit Formation towards a total depth of 9,800 feet.

The North West Gemsa concession agreement includes Circle Oil with 40% interest, as well as Sea Dragon Energy with a 10% stake and Vegas Oil and Gas with 50% interest and operatorship.

PetroAmir's production figures stood at 225,078 barrels of crude oil at the end of last April.

ENI Makes Substantial Gas Discovery in Mozambique

Italian oil operator ENI has announced a sizeable new discovery of natural gas in its Area 4 drilling site offshore Rovuma in Mozambique. The Coral-1 exploratory well revealed a discovery estimated by the company to be between 7 and 10 trillion cubic feet of natural gas. ENI labeled it a “giant new gas discovery.”

The well is located 65 km away from the Capo Delgado coast, and 26 km from ENI’s Mamba South 1 discovery. It was drilled in the southern portion of Area 4, to a depth of 15,974 feet, and encountered 75 meters of natural gas in a single high-quality Eocene sand. A production tests is planned to be conducted on the Coral-1 discovery.

“This discovery is particularly significant since it confirms a new exploration play, which is independent of those drilled so far in previous Mamba wells,” a statement from ENI claimed.

The discovery raises the overall potential of ENI’s Mamba complex in Area 4, as the company now estimates recoverable reserves in the complex to be in the region of 47-52 trillion cubic feet of natural gas.

The explorer is looking to drill an additional five wells in Area 4 in order to more accurately determine the upside potential of the site.

ENI is the operator of Area 4, holding a 70% participating interest. The other partners are Kogas (10%), Galp Energia (10%), and ENH (10%).

Nigeria to Renew Shell, Chevron Licenses This Month

The Nigerian government has announced that it is to renew onshore oil licenses for both Royal Dutch Shell and U.S.-based Chevron by the end of Q2 during the current month June 2012. The announcement comes in the wake of a similar renewal for Exxon Mobil in February, the value of which reached trillions of dollars.

“In order to show our commitment to a vibrant upstream sector... we have started the renewal of leases in good faith ... renewals with Chevron and Shell are expected to be concluded by June at the latest,” declared Nigeria oil minister Diezani Alison-Madueke in a statement last month.

Exxon Mobil’s February deal renews its license on Nigerian assets for 20 years. The secured assets produce roughly 550,000 barrels of crude oil per day.

A number of licenses have been expired for several years, some as far back as 2008, and renewal negotiations with the government have been slow due to uncertainty over the Petroleum Industry Bill. The bill, which has yet to become law, is expected to increase royalties and taxes.

The bill has been in discussion in the country’s assembly for several

years, undergoing several alterations and delays, and it is still unclear whether it will ultimately be passed into law. The Nigerian government has shown hesitance in signing renewals for licenses before the fate of the bill is decided.

Shell is the single biggest onshore oil operator in Nigeria. The company’s assets have an overall production capacity of 1 million barrels of crude oil per day, and are jointly operated with Italian oil firm Eni and French company Total, as well as Nigeria’s state-owned oil company the NNPC.

Nigeria’s crude oil production averaged 2.35 million barrels per day in Q1 of 2012, down from 2.4 million barrels per day in Q4 of last year.



Further Pay for Tullow in Kenya Well

U.K.-based Tullow Oil has announced that an additional oil discovery has been made in the company’s Ngamia-1 well onshore Kenya following drilling of the primary target. The exploratory well is located in Kenya’s Block 10BB, which is jointly operated by Tullow and Canadian company Africa Oil Corp.

The well has encountered additional oil and gas shows over a gross interval of 140 meters from a depth of 1,800 meters to a depth of 1,940 meters. The reservoirs are similar to those encountered earlier at shallower depths, and the oil recovered holds similar properties to that recovered in the upper reservoir zone.

The well is to be drilled further to a depth of 2,700 meters before being logged and sampled, in order to explore for further potential such as in the Lok-hone Sandstone.

Keith Hill, President and CEO of Africa Oil, stated, “The total pay sand thickness in this well has far exceeded pre-drilling estimates and certainly has highly positive implications for numerous similar prospects on trend. Based on these results, we are working with our partner Tullow to source additional rigs and acquire additional seismic to accelerate the exploration campaign in this basin. Our goal in the near term will be to assess the size and extent of the potential of this newly discovered

basin.”

According to Tullow, the Ngamia structure is the first prospect to be tested in a multi-well drilling campaign in Kenya and Ethiopia. The new discovery has raised expectations for the entire endeavor.

Tullow holds a 50% stake in the 10BB block, while Africa oil holds the other 50%. Tullow has a 50% operating interest in seven concessions in Kenya and Ethiopia covering more than 100,00 square km, all of them onshore. Africa Oil holds assets in Kenya, Mali, and Ethiopia, in addition to its operations in Puntland Somalia through a 51% equity interest in Horn Petroleum Corporation.

South Africa May Resort to Nigeria as Crude Import Alternative to Iran

South African deputy president Kgalema Motlanthe has suggested that his country will start to increase oil imports from Nigeria in preparation for a cut in imports from Iran, which is a target for increasing sanctions from the West.

During a briefing with Nigerian Vice President Namadi Sambo, Motlanthe stated “We would guarantee going forward, to our Nigerian brothers, demand for their liquid fuels because we don’t want to source our fuel in areas that are likely to be unstable,” in clear allusion to Iran.

“We are quite confident that Nigeria will become one of South Africa’s trusted suppliers of liquid fuel,” He added.

The statements came in the wake of the signing of the South Africa-Nigeria Bi-National Commission (BNC) implementation plan. The agreement is expected to open more doors for trade and business between the two African countries.

South Africa purchases an estimated 25% of its total crude imports from Iran. No crude was imported by Iran from South

Africa in January in what appeared to be an appeasement to the U.S.’s political goals, but 417,000 tons were shipped by Iran to South Africa in January.

South Africa has increased its intake of oil from Nigeria substantially by importing 615,834 tons in March of 2012, significantly more than the amount imported from Iran in the same month and fourfold the amount imported from the Nigeria in the same month of the previous year.

Refineries in South Africa are designed to refine Iranian-type crude, however, which could result in problems and fuel supply shortages in a country already suffering from such shortages. Oil refiners in South Africa include BP, Total, Chevron, Sasol, Engen, and Petronas.

South African energy minister Dipuo Peters had earlier claimed that switching suppliers could be detrimental for South Africa as it would not only have an effect on refiners but also have an impact on the “total value chain.”

Bounty Oil and Gas Conducts First Seismic Survey in Tanzania

Bounty Oil and Gas has initiated the first seismic survey in the Nyuni block offshore Tanzania. The company shot 335 line kilometers of 2D seismic in Nyuni, targeting the transition zone located between the coast and the deepwater areas of the block.

The survey is expected to take approximately six weeks, after which acquired data will be processed and analyzed. Another survey involving the shooting of 500 line kilometers of 2D over the deepwater region of the block will then be conducted.

The operation will utilize a combination of ocean bottom cable (OBC) and a marine seismic source for the shallow water, and a land-based seismic source for emergent reefs and islands. This constitute the first time such a technique has been used in this part of East Africa.

Ndovou Resources (Aminex) is the operator of the field.

Stuard Detmer, Chief Executive of Aminex stated: “The transition zone seismic survey will provide significantly improved definition of existing structural leads and unprecedented imaging of the stratigraphic potential that has proven so successful in the deep water. The combined results of the two Nyuni Area seismic surveys will be used to target future drilling in the transition zone and deep-water sections of the block.”

Substantial amounts of hydrocarbons have been discovered recently in Tanzania as well as neighboring Mozambique. So far, almost 100 trillion cubic feet of natural gas have been discovered in the two East African countries.

Aminex holds a 70% stake in the Nyuni license while Bounty holds 5%. The remaining 25% are held by the UAE’s Ras Al Khaimah Gas Commission.

BP to Resume Operations in Libya

British supermajor BP has decided to return to exploration operations in Libya following a suspension of activities due to the political upheaval the country witnessed in 2011. The announcement coincided with an announcement from Shell declaring the Dutch company’s withdrawal from its two blocks in Libya.

BP had constituted a force majeure in February of 2011 following an uprising against the rule of former Libya leader Muammar Gaddafi which escalated into armed conflict. The company has decided it is now safe to return to the North African country and has decided to lift the force majeure.

The head of Libya’s National Oil Corpora-

tion, Nuri Berruian, and Michael Daly, BP’s executive president for exploration, reached the decision last month in a meeting in Tripoli.

BP is the latest of several major oil operators to return to Libya, following similar decisions by Italian firm Eni and French firm Total. Libya’s petroleum sector has recovered remarkably well from the effects of the conflict, returning to production levels close to those achieved before the uprising.

Unlike Eni and Total, BP had no production assets in the country prior to the uprising, but it had acquired exploration rights for more than 31,000 square km of 3D Seismic offshore in the Sirt and Ghadames basins.

BP had been granted the Libya exploration deal, estimated to be worth \$900 million, by the Libyan National Oil Corporation in 2007 after intensive lobbying and a political controversy the Lockerbie bombings.

The deal was the biggest in the world of its kind at the time, and was deemed important enough to warrant the involvement of then-U.K. Prime Minister Tony Blair, who flew to Libya to secure it.

BP estimates that it would take approximately 10 years before production from its assets in Libya begins, should exploration efforts be successful.



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International Petroleum Drills Exploratory Well in Siberia

Australian oil firm International Petroleum has completed the drilling of Well 34, an exploratory well located in the company's Yuzhno-Sardakovsky field in the Khanty-Mansiysk autonomous region in Western Siberia, Russia. The well is expected to be concluded in July of the current year, and is to be drilled to a target vertical depth of 3100 meters.

Well 34 is an appraisal well intended to discover further reserves in known reservoirs and in new reservoirs, as well as acquiring new core data, determining well production potential and paving the way for production drilling in the field.

International Petroleum has gained a 100% legal working interest in the Yuzhno-Sardakovsky field as well as the Zapadno-Novomolodezhny field, both in the Khanty-Mansiysk region, due to its acquisition of Vamaro Investments Limited in February of the current year.

Vamaro held an exclusive license for geological study of subsoil, prospecting and extraction of oil and gas in both fields, which has subsequently

been transferred to International Petroleum.

Before the acquisition, 13 exploratory wells had been drilled in the Yuzhno-Sardakovsky field and six exploratory wells had been drilled in the Zapadno-Novomolodezhny field.

Commenting on the drilling of the new well, International Petroleum CEO Chris Hopkinson stated: "As soon as the Company received the cash from the placement in February 2012, it quickly began mobilizing contractors in Siberia, to take advantage of the winter season, and has achieved a great deal; building a pipeline and other infrastructure and working over eight wells – some of which will soon be put on production – and preparing to drill three new exploration wells."

Following International's takeover of operations in the fields, the company has begun work on three wells in Yuzhno-Sardakovsky and another three in Zapadno-Novomolodezhny, in addition to two wells at the Krasnoleninsky project. Results from these operations are currently under evaluation.

Aker Solutions Buys Emirati NPS Energy

Norwegian company Aker Solutions and Dubai's NPS Energy (part of oil-field services company National Petroleum Services) have reached an agreement for Aker to acquire NPS energy in a deal worth \$350 million.

Øyvind Eriksen, executive chairman of Aker Solutions, said in a statement: "After the divestment of our non-oil and gas related business in 2010 and the demerger from the EPC contractor Kvaerner in 2011, this is our next major step in the transformation of Aker Solutions into a leading and global oilfield products, systems and services company."

NPS Energy employs approximately 900 workers, and has a strong presence in the Middle-East and North Africa, where it finds its main markets.

The company provides well intervention services and onshore drilling services as well as perforation equipment. Its operations have focused on providing well intervention services in the United Arab Emirates, Saudi Arabia and Oman.

Aker Solutions has announced contracts worth a total of almost \$100.6 in the Middle-East and North Africa regions during the first quarter of the current year, including contracts for drilling and wellhead equipment.

First Oil from Athena Oil Field by Trap Oil

Trap Oil Plc., an independent oil and gas exploration and appraisal company with focus on the UK Continental Shelf ("UKCS") region of the North Sea, welcomed the announcement made by Ithaca Energy Inc. pertaining to first oil from the Athena oil field, with the initial operations phase of the field in line with its management's expectations and proceeding as planned.

Athena is located in UKCS Block 14/18b (License P.1293). Ithaca Energy is the operator and currently holds a 22.5 % interest in the block. Trapoil has agreed to acquire a 15% working interest in Athena from Dyas UK Limited, subject to Department of Energy and Climate Change and Dyas' partners' approvals, for a total staged cash consideration of approximately \$54.1 million.

Following completion of the acquisition of a 15% interest by Trapoil, expected to conclude by October 2012, the other equity holders in Athena alongside Ithaca will comprise of Dyas holding 32.5% interest as the largest equity holder, EWE Energie AG, retaining 20% and Lochard

Energy Group plc's wholly owned subsidiary, Zeus Petroleum Limited with the remaining 10%.

Trapoil's Chief Executive Office Mark Groves Gidney commented, "Ithaca Energy's announcement is great news for Trapoil. We expect our acquisition of an initial 10 per cent. interest in Athena to complete in Q2 2012, with the balance of the consideration due by 31 October 2012 for a further 5 per cent interest. It is most encouraging that production has now commenced with the initial operations phase in line with Ithaca Energy's expectations. Our estimated production profile for Athena is currently lower than Ithaca Energy's due to a more conservative unaudited estimate of the reserve base by Trapoil's management."

First oil from Athena follows on from the recent commencement of production from the Lybster field (Licence P.1270, Block 11/24-3v2), which is operated by Caithness Oil Limited, Trapoil holds a 35% carried interest in the P.1270 license.

Gulf Keystone Drilling Iraq Appraisal

Gulf Keystone Petroleum is working on an exploratory well in the company's concession in the Sheikh Adi block in the semiautonomous Kurdistan region of Iraq.

The Sheikh Adi-2 well is being drilled to target vertical depth of 2,450 meters using the Discoverer-4 rig, the same rig used to drill Gulf Keystone's Shaikan-4 well. Sheikh Ad-2 is targeting prospective intervals in the Jurassic formation.

It is the second exploration well on the Sheikh Adi block, following the drilling of the Sheikh Adi-1 well drilled in August of 2011. Sheikh Ad-1, located 1.45 km to the south of Sheikh Adi-2, was drilled to a depth of 3,800 km.

The Western part of the Sheikh Adi field in which both wells are located is estimated to contain gross-in-place recoverable resources of 1 to 3 billion barrels, with a mean estimate of 1.9 billion barrels.

"Sheik Adi-2 is a significant addition to our extremely active 2012-2013 drilling program in the Kurdistan Region of Iraq," Gulf Keystone's chief

operating officer John Gerstenlauer said in a statement. "To date, we have completed or are currently drilling 13 exploration and appraisal wells across the four blocks in the region in which we have interest. The location for this well has been carefully selected and we believe that with Sheikh Adi-2 we are targeting a section of the reservoir which is potentially more naturally fractured and much more similar to the Shaikan discovery."

He added: "Our present goal is to prove up the impressive preliminary resource estimates for the Sheikh Adi block of 1 to 3 billion barrels of gross oil-in-place (P90 to P10 estimates), which were assigned by Dynamic Global Advisors as a result of the Sheikh Adi-1 drilling. In the future, this well will benefit from its proximity to the available infrastructure on the adjacent Shaikan block."

Gulf Keystone, an independent oil and gas explorer focusing on Iraqi Kurdistan, holds an 80% stake in the Sheik Adi field, with the Kurdistan Regional Government holding the remaining 20%.

Statoil Raises Barrel-Estimates of the Brazilian 'Campos Basin'

Statoil and partners have substantially upgraded estimates for the Brazilian Campos basin pre-salt oil and gas discoveries, to a total 1.24 billion barrels of oil equivalent, and the Norwegian oil giant said this also increased its optimism for its geologically similar acreage in Angola.

Statoil said the companies had updated their estimates of the Brazilian discoveries Seat, Gavea and Pao de Acucar to a total of 700 million barrels of oil and three trillion cubic feet of natural gas, which is equal to 540 million barrels of oil equivalent, after previously estimating the discoveries as "high impact," defined as more than 250 million barrels of oil equivalent, or a share of 100 million barrels for Statoil alone.

Pre-salt, a geological formation off the African and Brazilian coast, is expected to contain huge amounts of oil and gas that could contribute billions of new barrels to global reserves and help Statoil fulfill its goal of increasing its daily international production to 1.1 million barrels by 2020, from about 600,000 barrels currently.

But these resources are buried under a thick

layer of salt at huge water depths, which means wells are much more complicated and risky to drill than conventional offshore wells.

The Brazilian discoveries are "more than one billion barrels combined, so it's really significant," Statoil's vice president of exploration Tim Dodson told reporters in Oslo.

Operator Repsol Sinopec, a joint venture between Spain's Repsol YPF SA and China Petroleum & Chemical Corp., holds 35% in the pre-salt block BM-C-33, Petrobras holds 30% and Statoil 35%. Production is shared according to each company's stake.

He said the companies are learning new things about their pre-salt acreage all the time, commenting, "The reservoir type and the oil type is different. The oil is light and good, and we are very encouraged by that," Dodson told Dow Jones Newswires, adding that the presence of gas makes production somewhat more complicated than if it had only been oil.

Dodson stated that at around 2,800 meters water depth the discoveries are fairly complicated to drill, but that the reservoirs are better

than expected.

"It is a special type of reservoir. It doesn't necessarily mean it is difficult to produce, but it is difficult to predict and to know where the reservoir is. It isn't a conventional sandstone reservoir like we have in Norway," he said.

The original Brazilian pre-salt discoveries were made in the Santos basin to the south, he explained, while Statoil and partners' more recent discoveries are situated in the Campos basin, further from the Brazilian coast. The Pao de Acucar discovery is 195 kilometers off Rio de Janeiro.

"We see a lot of upside potential in this part of the Campos basin. Unfortunately, that isn't readily available because there is no license rounds planned for this basin," he said, adding that Brazilian authorities has no plans to open the area for the time being.

Dodson said that his optimism about the potential of Statoil's pre-salt acreage in the Angolan Kwanza basin had also been strengthened by

the Brazilian discoveries.

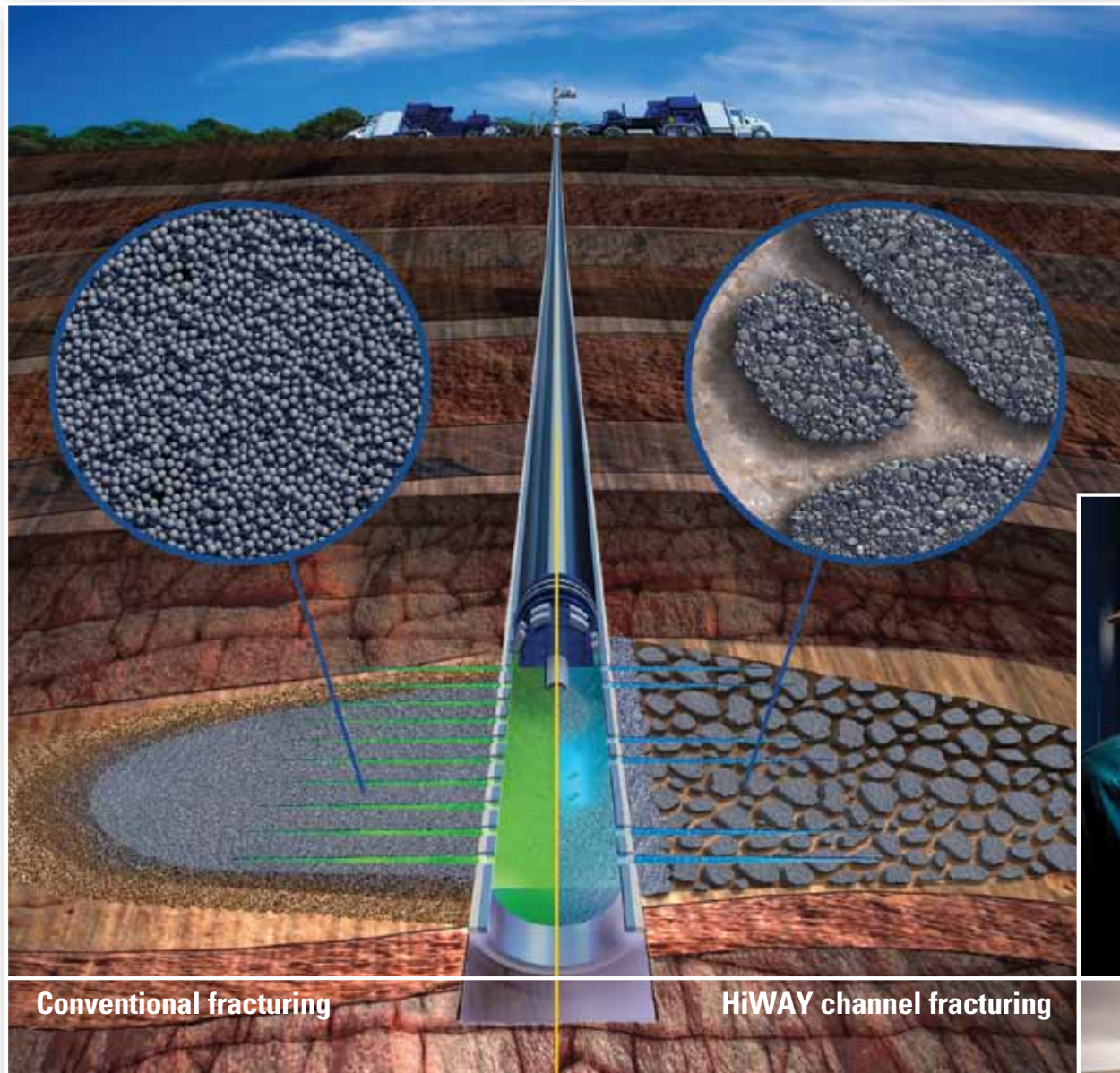
"This juxtaposes on the Angolan acreages," Dodson said, adding that the news flow the last months has been positive towards Statoil's Angolan position. "We are nicely flanked now by these big, light oil, pre-salt discoveries, so that's a good sign."



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\$1 Billion Syndicated Loan to the Egyptian Company for Ethylene and Derivatives

Five Egyptian Banks have agreed to provide the Egyptian Company for Ethylene and Derivates (Ethylco) with a \$1 billion loan in order to fund an ethylene and polyethylene complex in Alexandria. The project is expected to entail investment costs of \$1.427.

The loan will be provided by the National Bank of Egypt (NBE), which will contribute \$450 million, Banque Misr with \$225 million, the International Commercial Bank (ICB) with \$175 million, Banque Du Caire with an amount of \$75 million, and a contribution of \$75 million by the Arab International Bank (AIB). The amount to be pooled in by National Societe Generale Bank (NSGB) is yet to be determined.

The loan will be granted in two currencies, in the form of USD 630 million and EGP 370 million. The Board of the Egyptian Petrochemicals Holding Company (Echem) approved a shareholder's guarantee for the loan.

The plant is expected to produce to produce 400 kilotons of ethylene and its derivatives per year, in addition to providing the ethylene feedstock for the second stage operations of the project, such as the production of polyethylene, styrene, and polystyrene.

Echem holds a 51% share in Ethylco, with the remainder held by Sidi Kerir Petrochemicals Company (Sidpetco), the Egyptian Gas Company (Gasco), Al Ahli Capital, Banque Misr, the National Investment Bank, the Nasser Social Bank and others.

Egypt Evaluates USD6 Million Downstream Projects

The Egyptian Industrial Development Authority (IDA) has received several proposals from investors pertaining to the establishment of a variety of downstream projects such as oil refining and petrochemicals production.

The projects are currently under appraisal, and two of them have already been approved, to be implemented over 40,000 square meters of land in Egypt following the conclusion of the Egyptian presidential elections.

The IDA has revealed that companies from Qatar, Libya,

and Algeria have put forward offers to set up downstream projects, most of which involve oil refineries and large petrochemical complexes. These projects are to be located around Egypt's strategic Suez Canal, one of the most important trading routes in the world.

The IDA estimates that roughly 40 million barrels of oil pass through the Suez Canal every day, primarily from Gulf producers. Egypt is aiming to take advantage of this substantial flow through the development of new projects.

EGPC Looking to Cease 90-Octane Fuel Production

The EGPC has announced its intention to limit production and distribution of 90-octane fuel, in preparation of a complete cessation of its production. Subsidization of 90-octane fuel is also to be decreased in the coming period.

The decision comes as a result of the alleged complexity of refining 90-octane, which when added to subsidization results in high costs and subsequently a negative impact on revenue for the EGPC.

The government alleges that demand for 90-octane has decreased in recent times as consumers opt for 92 and 95-octane instead.

The fuel type is subsidized at 2.83 EGP per liter, while 92-octane fuel is subsidized at 2.911 EGP, and 95-octane at 3.28 EGP. The EGPC is aiming to cut down on fuel subsidies and is considering several options, including coupons, as alternatives. It has been reported that the EGPC is looking to end fuel subsidization by the year 2018 at most.

Production of 90-octane fuel stood at approximately 1.2 million tons in 2008-2009, but has since fallen to 700,000 tons in 2011-2012, indicating the intention to eventually discontinue its production. It has been revealed that distribution of 90-octane fuel has in fact been banned in major areas for some time.

Egypt's yearly consumption of fuel has reached 5.2 million tons as of the 2011-2012 fiscal year. 95-octane fuel is consumed at 400,000 tons, while 92-octane consumption is 1.5 million tons, 90-octane consumption is 1 million tons, and the cheaper 80-octane fuel is consumed at 2.7 million tons.

At current rates, fuel subsidies are expected to reach 114 billion EGP in 2012, a burden the country may find particularly difficult to deal with in light of recent economic turmoil. The current fuel subsidy budget is estimated to be 111 billion EGP.

New Solar Energy Pilot Project in Burj Al-Arab

The Egyptian Academy of Scientific Research and Technology (ASRT) has announced the launch of a pilot Concentrated Solar Power (CSP) project to test units that can simultaneously produce electricity and desalinate water.

The four-year project test project, known as "Multi-Purpose Applications by Thermodynamic Solar", or MATS, has received US\$28 million from the European Union under its Seventh Framework Program (FP7), and will also involve European universities and companies.

This will be used to build and test MATS units at a site in Burj Al Arab, a desert area near Alexandria. The units can be powered using both solar energy, and renewable energy sources such as biomass and biogas. The test facility will aim to generate one megawatt of electrical power and 250 cubic meters of desalinated water per day.

In a statement, Maged Al-Sherbiny, the ASRT's president, said that MATS units could be used to exploit "concentrated solar energy through small and middle scale facilities, to fulfill local requirements of power, heat, and desalinated water."

"ASRT is the main contract holder for the project, with other partners from Italy, Germany, France and the United Kingdom," stated Al-Sherbiny, adding that an agreement to host the project has been signed with the City of Scientific Research and Technological Applications (CSRTA), which has allocated the land in Burj Al Arab.

Al-Sherbiny said the MATS demonstration pro-

ject would be carried out on an industrial scale, and that "Egypt may be able to export this technology to other African countries in the future". Ultimately the units might also be incorporated into national plans to export electricity from North Africa to Europe.

He also noted in his statement that the technology would be tested in an area where solar radiation levels were on a par with Mediterranean countries. The MATS units are based on innovative CSP technology developed in Italy.

Khaled Fekry, head of research and development at Egypt's National Renewable Energy Authority said one of the biggest benefits of MATS technology is its relative low cost and high efficiency.

Parliamentary Discussion to Increase Electricity Output

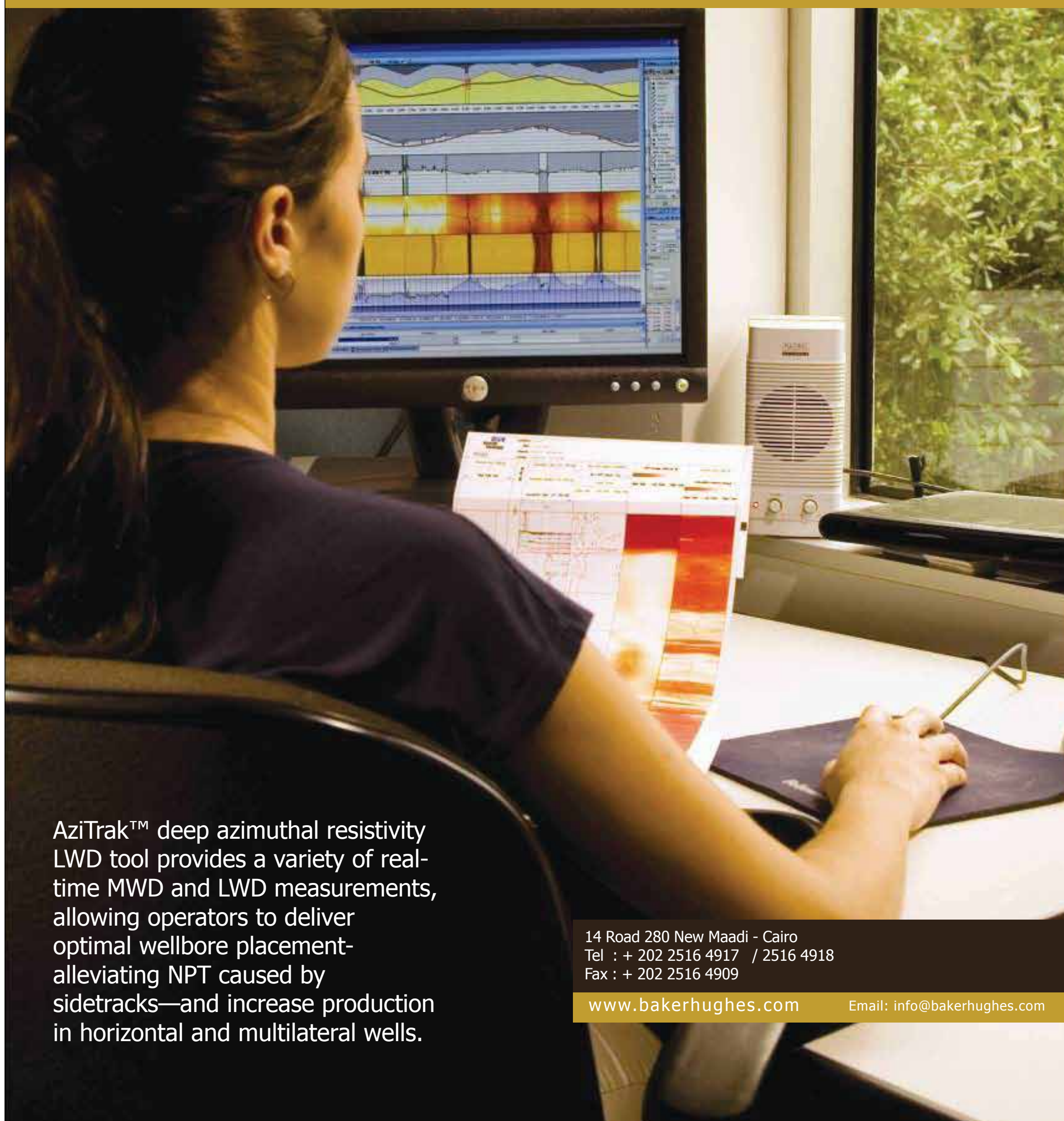
A General Assembly meeting of the Egyptian Electricity Holding Company was held on the 20th of last month, in the presence of Electricity Minister Hassan Younis, to address future activities and the 2012/13 budget whose investments are estimated to be worth 20 billion pounds from the total investments of the five-year plan LE 90 billion to add 12,000 megawatts to the national power grid.

Discussions covered the financial and debt burdens faced by the electricity sector and electricity subsidies running at nearly 14.2 billion pounds, which include 10.5 billion pounds for households alone.

The Minister added that the sector carried out projects with investments reaching more than LE 13 billion for meeting the increase demand on electricity by citizens during summer and to meet as well the needs of development projects. Capacities were added to Abu Qir Power Station to reach 1300 megawatt, 6th of October 600 megawatt and West Damietta of 500 megawatt.



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Tragedy and Hope

Egypt's Petroleum Sector in Light of the Economic Programs of Presidential Hopefuls

As the political fog clears and the future of Egypt's power structure narrows down to a handful of possibilities, the fate of the country's petroleum sector can be speculated upon in more precise, more firmly grounded terms. The implications of the electoral process on the sector and on the economy reach beyond the simple fact that the identity of Egypt's new president will be determined. The conclusion of the process itself is expected to beckon relative stability born of increased certainty, even as the powers to be designated to the new president remain unknown.



By Ahmed Maaty

The identity of the Egypt's next president may in itself prove to be a hindrance to stabilization, particularly in light of recent results that show the Muslim Brotherhood's candidate Mohamed Mursi and Mubarak-era official Ahmed Shafiq heading the pack. The policy orientation of both candidates is also likely to produce an effect on the petroleum sector, despite the fact that the economic policies proclaimed by both, and by most others in the race, do not stray far from vague centrism.

Ultimately, however, the impact of the elections and their results may end up affecting the sector more than any deliberate attempt by the future president to do so, as the president's ability to significantly alter proceedings in the sector will likely be somewhat limited for political as well as practical reasons.

Although the main contenders for the presidency all approached economics in vague, cautious fashion in their election programs, the two front-runners, who will almost certainly face off against each other in the run-off, can be considered among those who played it safest, choosing to promise reform rather than an overhaul of the capitalist framework currently in place. Furthermore, in a move shared by many of the other prominent candidates, both Mursi and Shafiq relied heavily on political rhetoric, general goals, and statistical promises to fill space which would otherwise house detailed economic policies.

Those looking to bring the Egyptian revolution to the economy were overlooked by the larger portion of Egyptian voters. Khaled Ali, a true socialist and perhaps the most radical of the candidates competing for the presidency in terms of economic policy, was a marginal figure throughout the pre-election phase and consequently received a negligible amount of votes. Hamdeen Sabahi, a long-standing fixture of Egypt's political opposition and a self-proclaimed Nasserist with a leftist orientation, was a popular choice but results showed him coming in third behind Mursi and Shafiq. As such, Egypt's economy does not seem to be heading in the direction of any form of state-driven socialist model in the near future.

Even Abdel Moneim Aboul Fotouh, perceived to be the more liberal of the two Islamist candidates, was to an extent more inclined towards leftist economic policies in his electoral program than either of the front-runners. His program elaborated somewhat more satisfactorily than either of them on the buzzword of the hour, "social justice", by detailing policies such as proportional taxation, as did the programs of other, less prominent candidates such as Judge Hisham al-Bastawisi.

The unsurprising fact that none of the candidates presented neo-liberal economic programs (due to the stigma attached to such policies following the revolution) leaves us with two

front-runners who promote capitalist-interventionist models in which the private sector drives growth while the state acts as a regulator and balancer of the economic equation. This would place both candidates on the right-wing of Egyptian politics relative to their competitors, in both political and economic terms. These categorizations are not entirely applicable to a post-revolutionary nascent democracy such as Egypt, however, which seems to have developed an obsession with the role of religion in politics and the state. In fact, this point of contention draws the truly significant dividing line between the two candidates, as their economic policies appear remarkably similar in terms of general orientation.

The similarity of both economic platforms signifies that the petroleum-relevant policies to be implemented under either presidential candidate will likewise be similar. Brotherhood candidate Mohamed Mursi's economic program envisions an Egyptian economy in which the private sector acts as the progenitor of growth and development, aided by facilitations and incentives from the government, while the state takes on the responsibility of providing the most basic services (education, security, etc.) and combating poverty and corruption in ways that do not interfere heavily with business.

This overview is one that is generally well suited to the petroleum sector, which relies heavily on foreign investment. Investors will be encouraged by an economic vision which recognizes their role as the drivers of growth in the domestic economy, and while corruption may unfortunately be viewed as a short-term backdoor through which to bypass legitimate investment obstacles by some investors, the minimization of institutionalized corruption in the economy and in the sector can only result in a more efficient, transparent sector in the long-term.

Ahmed Shafiq's proposition of a partnership between the public and the private sector does not seem radically different. Moreover, it appears consistent with the operational status quo of the Egyptian petroleum sector. He has also targeted an increase in foreign investments as one of his program's main goals, and has vowed to provide "all possible legal and procedural facilitations" to foreign investments.

Both economic programs thus share the priority of attracting

foreign investments. In addition, while the concept of social justice is included in both programs through policies such as minimum wages in the case of Shafiq and a "flexible" taxation system in the case of Mursi, it is not the true focus of either. Skeptics will view it as lip service. Optimists will view it as an attempt to protect citizens from the side effects of raw capitalism. None will confuse it as a socialist initiative involving worker's rights and heavy redistribution of wealth, elements often deemed unfavorable by foreign investors.

The clear understanding that both candidates have conveyed regarding the importance of foreign investment for the Egyptian economy in the coming period ensures that tax policy is unlikely to be harsh towards said investments. Granted, political actors will have to be more balanced in their treatment of investors and businesses so as not to draw the ire of the less wealthy public, but the leading two candidates are almost certain to be lenient on big investors in the near future, particularly in comparison to the aforementioned leftist contenders.

Other policy directions give relative advantages or disadvantages to one candidate in relation to the other. Ahmed Shafiq's general tendency towards bureaucratic proliferation, including hiring several 'presidential delegates' to deal with specific issues, does not bode well for a sector in which foreign investors complain of excessive bureaucracy. His promise to develop nuclear and renewable energy may also do some harm, as it bodes well for Egypt's energy industry but not the petroleum sector in particular, although such promises have been made and not kept in the past by officials working in the same political regime Shafiq is accused by many to have been a part of.

Mursi's program alludes to renewable energy as well, albeit briefly. In addition, his Islamic banking and finance initiative may scare away potential investors fearing a regressive innovation, but existing examples of Islamic banking systems that are in practice identical to standard modern banking should keep most such fears at bay. His intention to fight monopolization and ensure free competition (shared by Shafiq), may dismay the more exploitative of investors as well, but much like fighting corruption, the long-term effects can only be beneficial to all parties involved.

“ The similarity of both economic platforms signifies that the petroleum-relevant policies to be implemented under either presidential candidate will likewise be similar ”

“ The fact that the political party Mohamed Mursi heads, the Freedom and Justice Party, holds the single biggest bloc in Egypt’s parliament will allow him to more effectively pursue and implement envisioned policies ”

The issue of energy subsidization, a popular topic currently going through the rounds of Egypt’s many nightly talk shows, is among the prospective policies that will affect the petroleum sector. The issue is conspicuous by its absence in Mursi’s electoral program, but present in Shafiq’s. The secular candidate vows to end energy subsidization to industry while continuing to subsidize cooking gas and gasoline for what he labeled “deserving people”, most probably an indication to the poor. The current subsidization structure constitutes a burden that is becoming increasingly difficult to bear for the Ministry of Petroleum and the entities that fall under it, which means that a decrease in subsidization will allow the government side of the Egyptian petroleum sector to more effectively meet its obligations and to get its financial house in order.

Shafiq’s plan to extend natural gas to Egyptian households for domestic use may also prove provide him with a minor edge. It potentially enhances the proposition of foreign companies selling natural gas to the domestic market using the national grid, which is a possibility that has recently been discussed and would provide an incentive for investors to in participate in the much-needed development of Egypt’s natural gas resources.

Some of these divergences in economic policy between the two candidates appear to give Shafiq a minor advantage when it comes to the petroleum sector. Mursi holds a significant advantage over his competitor, however, and it is more a result of political consequence than professed economic policy. The fact that the political party Mohamed Mursi heads, the Freedom and Justice Party (the political arm of the Muslim Brotherhood), holds the single biggest bloc in Egypt’s parliament will allow him to more effectively pursue and implement envisioned policies, whatever they may be.

Not only does Ahmed Shafiq not belong to the biggest parliamentary party, or any party that would support his positions in the country’s legislative body, but he can claim a fierce political enmity with the Muslim Brotherhood and the political strain they belong to. Shafiq is in fact portraying himself as the antithesis to political Islam, the anti-Brotherhood as it were, in order to attract voters who suspect or dislike that particular political current. Consequently, should he become president, the country would often find itself struggling with differences and deadlocks between the legislative and the executive branches of government. This is all the more significant due to the nature of the petroleum sector, in which parliament plays an active role in key issues pertaining to legislation and agreements.

By contrast, Mursi heads the Muslim Brotherhood’s dominant political party, and belongs to the current of political Islam which currently holds the most sway in Egypt’s political scene. This gives Mursi a massive amount of leverage in parliament, as it ensures that his general vision and the direction in which he decides to proceed will be shared by the most powerful parliamentary force. As a result his positions and decisions relevant to the petroleum sector are unlikely to meet substantial resistance in parliament, avoiding the pitfall of constant political confrontation between state institutions that is likely to unfold should Shafiq emerge as the victor in the run-off.

Ultimately the announced economic policies and goals of both candidates, while in some cases highly consequential to the petroleum sector, do not deal with the pressing needs of the sector. How each candidate would deal with these needs as president is only to be speculated upon. Egypt’s conventional petroleum resources are dwindling, and the sector’s future will inevitably depend upon unconventional and deepwater resources. Naturally these resources require colossal investments from large companies, and such massive funds will not be pooled into such high risk operation unless the potential rewards meet that same standard.

The current model of petroleum agreements employed in the sector, and the entrenched customs of dealing with foreign investors and granting them certain terms and conditions, are ill-equipped to attract investments in the resources Egypt so urgently needs to develop. While this framework of operations is not entirely up to the future president, such significant changes

can only be undertaken under the watch of a president who is to some extent progressive-minded, one that is not committed to the traditional methods of doing business.

The new way of dealing with investors that is required involves granting additional incentives to said investors, a direction which may be unpopular in political circles due to the need for some degree of populism in revolutionary times. Furthermore, both leading candidates can be described as conservative and may prove unwilling to deviate too heavily from the norm, particularly during a sensitive first term in office. On the other hand, their clear eagerness to attract investors and their undoubted recognition of the woes the economy is suffering may well push them towards a more progressive mindset.

As to who may prove to be the more progressive-minded, forward thinking of the two, only time can tell. Ahmed Shafiq developed a reputation as a man capable of doing business with the outside world during his tenure as head of Egypt’s national airline. However, he is a man of Mubarak’s regime and may be expected to operate under their same rigid, traditionalist mindset. Mursi and the Muslim Brotherhood have little experience in dealing with foreign investors, and one would be hard-pressed to find an educated analyst describing the group as progressive in any fashion. Nevertheless, the Brotherhood’s now infamous pragmatism, and the presence of several successful businessmen high in their ranks, will likely allow the group to adopt sensible modern business practices.

It is difficult to predict which candidate would be more willing to implement and push for the necessary reforms. It is even more difficult to predict the extent to which the president will be able to implement any reforms at all. Egypt’s new constitution is yet to be written, and the assembly tasked with writing it has not even been re-elected yet since its legal dissolution. This means that the powers of Egypt’s future president have not been determined. The country is actually likely to end up with a mixed parliamentary-presidential system due to the general fear that a presidential system will result in the resurgence of dictatorship.

It is expected that the system to be will prioritize parliamentary power, and even the possibility of an entirely parliamentary system cannot be absolutely disqualified. This is particularly probable in the case of a Shafiq victory, as the constitutional assembly responsible for writing the new constitution will be elected by the Islamist-dominated parliament. This would severely curtail or perhaps eliminate the president’s ability to effect substantial change.

In addition to doubts over the president’s constitutional authority, the issue of the military and its practical authority stands in the way of the future president’s capacity for change. Vital state institutions are highly militarized, either through official armed forces stewardship and intervention or through the unofficial influence of retired army officers in managerial positions. This does not exclude the petroleum sector; oil companies are often headed by retired officers whose loyalty is almost certain to lie with their former institution, while bid rounds pertaining to the sector require military approval before they can proceed to be released.

Despite the uncertainty of coming changes in the petroleum sector, the very occurrence of the presidential elections will have an effect on the petroleum sector. The election of Egypt’s first president will signal the official end of the extremely volatile ‘transitional period’ and the beginning of the new Egyptian republic (its arguable similarity to the old one notwithstanding). This can be expected to foment relative stability and foster an atmosphere of safety for investors, who will feel more at ease in



dealing with and investing in a country the future of which has become clearer. The nervous anticipation of the elections will have been over, and a functional state with legal institutions (the legitimacy of which is not the current subject of discussion) will have risen to replace the chaos of political and historical forces struggling for control outside a clear legal framework.

The results of the elections have thrown such expectations of stability into question however. Ahmed Shafiq is largely perceived to be a figure of the old that was ousted by the revolution, and many revolutionary-minded Egyptians simply will not accept his ascension to power regardless of the electoral process. This was recently demonstrated in demonstrations that ended with an attack on the headquarters of his presidential campaign, this even before the second round run-off. If Ahmed Shafiq is announced as Egypt’s new president, further public unrest can be expected to occur, once again raising doubts about the political future of the country.

A Mursi victory would not be as drastic, seeing as how the Muslim Brotherhood does not have the ability to trigger public rage to a level equal to that of former regime members, but the Brotherhood’s image has taken a significant hit since the beginning of the uprising. Many have come to view the group as opportunist power-grabbers who have little interest in supporting the revolutions, and others simply fear the notion of a theocracy or at least absolute domination of all political institutions by one force. Opposition to the Brotherhood is quite clearly on the rise, but it is more likely to take the form of organized political opposition restricted to the confines of the political system rather than amassing a significant street presence.

Both candidates are not the ideal stabilizers a figure such as Amr Moussa or to an extent Abdel Moneim Aboul Fotouh would’ve been. Ahmed Shafiq is capable of rousing the passions of those who fought tooth and nail for a fading dream, and Mohamed Mursi inevitable stokes the fires of fear that always seem to accompany Islamism and the Muslim Brotherhood. Mursi, however, is less likely to prompt a second uprising should he emerge victorious, and is a relatively more secure option in terms of investment-luring stability. In either case, the fact that the two leading candidates are those that hold the biggest potential for polarization bodes ill for a sector that requires prosperity in order to strike long-term deals.

The future of Egypt’s petroleum sector, like the remainder of the country, hangs in the balance of a single election. It is thus ironic that it does not matter to which side the scale tips as much as it matters that it does tip to one side peacefully and stably. This is not likely to happen in the case of victory for either candidate, but projections for political turbulence and unrest are higher in the case of Shafiq victory, which may stand as the major differentiating factor between the two as pertains to the petroleum sector. Similarities in economic policies and uncertainty in their intention and capability for reform leave the sector contemplating the fine line between a bright future and a nightmare of endless headaches.

“ Shafiq vows to end energy subsidization to industry while continuing to subsidize cooking gas and gasoline for what he labeled “deserving people” ”

What Lies Beneath:

Geologist Mostafa El-Bahr, EGAS Vice Chairman for Exploration and Agreements talks to Egypt Oil & Gas about the new Bid Round and Future of Mediterranean E&P



By EOG Team

You are known to be one of the more progressive executives in the Egyptian petroleum sector in terms flexibility and vision. May you briefly talk to us about your background and professional history in the petroleum field?

Thankfully, I was educated well, and it is my obligation to repay the country what it has invested in teaching me. At first I was employed at the Ministry of Petroleum, and then I became Chairman of Oil and Gas Skills, then the EGPC's Vice Chairman for Exploration. Then I went to Mineral Resources, and I went with the specific purpose of raising its importance. I found significant resistance, but I presented a new model. The model could be applied by anyone, and so my return to the petroleum sector was to be more productive, something I relayed to the minister, and he agreed with me. EGAS was very importance because the future of gas depended upon exploration and research to make discoveries, and there wasn't much research and exploration activity, so I came here. Positions are not important for me; it's about how I can best serve the country.

There is a growing anticipation for EGAS' coming bid round. How many blocks are going to be offered for bidding? And in which geographical area is the majority of the blocks concentrated?

There are 15 blocks offered, 2 onshore and 13 offshore. Since we're focusing on natural gas, the offshore blocks are all in the Mediterranean Sea where there is primarily natural gas. For the first time, we are offering regions along the Eastern maritime border, within Egypt's determined economic zone. This is completely within our legal rights, and does not give any party room to complain. At the same time, if some of the discoveries made on our side extend to the other side of the border, this does not negate the rights of the other side in these discoveries, and vice versa, and there are laws that govern these cases. Ultimately, we absolutely will not wait until others make discoveries that extend into our territories and then start searching for

our rights. We are going to take the initiative and make our own exploration efforts, and then respond to any claims made by others.

For how long will the bid round remain open?

The bid round will be open for 5 months, with no intention of extending this period. If a company does not manage to evaluate the offered block(s) in the five-month period, the additional month will not make much of a difference, particularly with regards to offshore areas. If the investor is serious and aggressive, they will manage to complete their evaluation within the announced timeframe.

Are there any criteria in place for the exploration plans?

The criterion for the exploration plans presented by bidders will be competition, and the competition will give priority to aggressive exploration plans. Exploration plans involve seismic and well-drilling operations, which is more important to us than signature bonuses for example. We have a committee tasked with evaluating and comparing all submitted bids and selecting the one that offers the highest returns for the country.

Do you expect a high level of competition across the offered areas?

I'm expecting more competition in the 3 Eastern areas than the Western areas. It is our target to become a major player in the gas market, to meet local market needs and to benefit from our natural gas wealth, to develop petrochemicals and achieve added value.

Do you expect the larger percentage of offers to come from newcomers or investors who are already active in Egypt?

We expect both. Most of the major players are already active in Egypt, but we expect some major players to come in as well. We hope and expect that we will get a large amount of offers.

In light of the coming bid round, will there be any amendments to the agreements model? (Pricing – Cost Recovery – Abandonment)

In the last bid round there was no gas price and no criteria to determine the price, and we had

given priority to the local market. What used to happen was that post discovery, the contractor would ask to modify the price, and it would be reasonable request as the price would not be suitable for growth, specifically deepwater deep targets with high cost of operations. We would have to modify according to equations. Therefore, we have criteria for determining price, as discussed in the roundtable. Offshore and onshore prices are completely different, as are shallow water and deep water and shallow targets and deep targets within either. Other variables are low or high pressure/temperature, as well as distance of the discovery from facilities, type of gas (sour gas, rich gas, etc.) discovered, and quantity of gas discovered, all of which necessitate consideration in the costs. The contractor comes forward with a development plan that gives a range for profitable gas price. We negotiate with in the context of the development plan, look at the price and how much IRR would be achieved in our model. We find the an acceptable IRR range for us, which takes into account the risk taken (high risk, high return) and based on this we determine the price for deep water/deep targets and shallow water/shallow targets etc.

We are trying to encourage contractors to develop discoveries immediately upon making them rather than exhausting a lot of time, and so we have put in place a timeframe for development. If the investor is serious, they will develop the discovery in the determined timeframe, if not they will leave it. We are looking for investors who are aggressive in both exploration and development because we are in need of gas production.

Regarding marketing, we have already discussed the criteria judging the price at which we will be willing to purchase. If this is unsatisfactory for the investor, they have the right to seek their own customers in the local market. If they find customers they can proceed to negotiate pricing with them, but we will be actively present in the negotiations, since they'll be using the national grid and will consequently

be paying us tolling fees.

The modifications we have applied to the agreement model

are natural advancements, and if we do not implement them, then we are not doing our jobs.

What about Cost Recovery in deep water prospects?

There is a pool for cost recovery, if cost is high as in deepwater, pool of cost recovery should reflect this. Agreement should determine cost recovery within a given amount of time. Deep water, deep target cost recovery pools will differ in terms of percentage from shallow and land targets, and this will be competitive, but it will also have a limit.

Will there be an Abandonment Clause?

There is an abandonment clause this time, something that was not present in previous bid rounds.

What if it is more feasible to develop a discovery with a model other than PSA?

If the discovery is made within the context of a concession agreement, then the terms and conditions of that agreement are applicable. If the discovery reveals variables that cause the investor to claim that it would not be economic to develop the discovery with the agreed price, they are free to look for other buyers at whatever price they wish for a certain period of time, after which the discovery is relinquished to us, which is fair. This is a common practice; it is not something we came up with.

Are the modifications being applied to gas agreements applicable to oil agreements?

The market needs production, and the greatest potential for gas lies in high-risk deep-water deep targets, which require incentives for investors. This new model looks 10 years ahead to meet market needs in that time, but cannot be applied to oil because it does not meet short-term market needs. The modified model cannot thus be applied as it is by the EGPC in oil agreements because variables such as well cost are different, but they can take from our modifications and we can take from theirs; there is no impediment to that. Also bear in mind that the EGPC and GANOPE do not face a major problem with pricing in their agreements because they have Brent as a reference.

Deepwater exploration entails the use of very advanced technology. Will there be different criteria in the tenders for services and technologies in deepwater in order to ensure a balance between adequate prices and required quality of services?

There are two different sets of terms and conditions for shallow water and deep water,

“ I can guarantee is that there will be another bid round in 2013 and another one in 2014.

”

which is a very important distinction. There is no point in issuing tenders if we don't issue them in a proper way. The very point of issuing tenders is to attract investors who have the monetary capability of taking the risks we would be unable to venture.

What is your take on the issue of subsidies and government regulation in the sector?

It is inevitable that subsidies will eventually be removed, and this is the current observable trend globally. There has to be a vision guiding our movement. The industry must be de-subsidized but not de-regulated, as it is our role to continue regulating the market and it is necessary. Subsidies actually make it more difficult to regulate the market, as their removal would grant us more freedom according to factors that should be considered in regulation.

Experts agree that within 5 to 7 seven years, the Egyptian petroleum industry will have to focus almost exclusively on natural gas. What is your vision for the evolution of agreements to suit the challenges of future gas E&P? (Deepwater, High Pressure High Temperature (HPHT))

It is not true that oil reserves will be depleted in 5 to 7 years. Last week there was a discovery of 55-56 million barrels of recoverable oil, and oil in place exceeded 250 million barrels. This well's initial production is 4,500 barrels per day and will reach 10,000. These are all additional reserves.

Has EGAS taken any steps towards adopting models for Shale Gas and Light Tight Oil?

We are organizing a workshop for shale gas in the coming period. Investors are interested in shale gas prospects in Egypt, but they do not have enough data. A committee was established particularly for the future of shale gas in the country, comprising of representatives from all government entities that can contribute to exploration for shale gas. Since EGAS is primarily responsible for gas exploration in Egypt, we are taking the lead, and it is my honor to head this committee. There are 2 representatives from EGAS, 2 from the ministry, 2 from the EGPC, 2 from GANOPE, and 2 from Mineral Resources. It is tasked with gathering all possible relevant data. This includes assessing what we have in terms of shale gas, looking at reports and research conducted in other countries on a regional level, and looking at what producing countries have done to reach the stage of production. We have collaborated with services companies such as Halliburton and Schlumberger in order to gather data regarding shale gas exploration, and we hope this will encourage exploration companies to begin working in conjunction with us in this field. We can expect to be discussing investment in unconventional resources in Egypt by the next fiscal year. We need to start steps now because the more we wait, the costlier the process will be.

Unconventional resources like Shale Gas require unconventional terms and conditions. The terms and conditions by which current concession holders operate do not encourage them to explore for unconventional resources. However, before we determine new terms and conditions, we have to do the research and determine the variables such as where the resource is located and the cost of extracting it before we can settle on new terms and conditions. We also have to take advantage of current wells being drilled for conventional resources in order to gather data for unconventional resources, which is basically free research.

Do you predict difficulties in acquiring parliamentary approval for agreements in the coming period?

The bid round is an agreement based on economics. If I clearly show my rights and obligations in the agreement, how it will be beneficial to the country, and the opportunities we're missing if we do not go through with it, all in complete transparency there should be no problem. There are no direct negotiations, it is a competitive bid, and so what we present is the best offer we can get in a competitive environment. All of us, including the parliament, have to be aware that we have regional competitors such as Libya to the West and others to the East who are vying to attract the same capital we are. If we do not offer competitive terms, investors will go elsewhere in the region, and we gain nothing.

Which are the most serious competitors for Egypt in the region?

All regional competitors are serious, but the most significant competitors are the countries to the East and North, extending Lebanon, Syria, and Cyprus. This is because they have access to the Levant basin in the Mediterranean Sea. Most discoveries in this Eastern region are made in this basin, and hopefully most of our Eastern and Northern discoveries will be made there.

How much of a share of resources in the Levant Basin lie in Egyptian territory?

There is not enough concrete data at our disposal to determine

“ If the investor is serious, they will develop the discovery in the determined timeframe, if not they will leave it. We are looking for investors who are aggressive in both exploration and development ”

what we have and what we don't. This is one reason why we issue bid rounds seeking the most aggressive contractors, in order for them to conduct seismic surveys and better clarify the extent of our hydrocarbon wealth. After the exploration phase of this bid, we'll be better placed to determine our share in the Levant Basin. Geographically speaking, we're in the area. The USGS released a report in 2010 revealing that there are 223 trillion cubic feet of undiscovered natural gas.

We have a significant share in this wealth, but we have to exert an immense effort to identify it. What we have discovered thus far is substantially lower than what we're looking for and hoping to discover. There is a good chance that exploration in the coming phase will reveal new reserves that exceed our current proven ones.

What effect, if any, will the presidential elections and their results have on the bid round?

There is a risk that is taken into account in the process of investment. Bear in mind that offers will not be presented until November, no one will present offers in June. They'll spend the coming months evaluating the blocks. There are two factors that are significant when it comes to the political events transpiring in the country. The first is that there is significant potential for gas discoveries, and the companies know this, it just requires work. The second is that this is a transitional period and we won't remain like this forever. The country will eventually return to stability, and the investors know this as well.

Some view that free information sharing should be more wide-ranging in the sector. What is your opinion on this matter?

There are principle data packages that are free of charge, but there is data which entailed a significant cost for me an authority, and therefore it is fair to sell it. We do not sell at the original cost for us, as we sell the same data to multiple buyers, and so there is a pricing committee that determines the price. Moreover, serious investors understand the need to pay for information and allocate a specific budget for this purpose, and we are looking to attract serious investors. Take into consideration that the information packages actually save the investor the cost of gathering this data themselves, which would be more expensive for them.

What are your hopes for the new ministry?

My hopes are not related to the new ministry but the new government as a whole. I hope that the new government will understand that those working in the Ministry of Petroleum are doing everything they can to keep current investors, to attract new investors, and to develop new resources. They have to understand that we are doing all we can, and I do not think there is anything more that can be done in current circumstances, we are working based on our successful history with our partners, a history which gives them hope for the future. This is the only industry in Egypt in which no investors have minimized or ceased their operations in the countries. I hope that the new government will support the sector in

order to continue playing its natural role, and that we continue to work along our current development plans in order to meet local demand and look to tomorrow.

Can we expect to see more bid rounds from EGAS in the near future?

What we are working on, and what I can guarantee is that there will be another bid round in 2013 and another one in 2014.

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In the World of CSR, Can Mickey's Smile Steal the Spotlight from the Oil & Gas Industry?

In their issue devoted to the world's most admired companies, Fortune Magazine includes a section listing their top 10 most socially responsible companies. The list actually features 11 companies, since there is a tie at both the eighth and tenth spots.

By Hatem Salem/ Chairman & CEO "ACT CSR" hatem@actcsr.com

The 10 Most Socially Responsible Companies in the World

1. Statoil - Fortune's pick for the most socially responsible company in the world is this Oslo-based oil and gas giant, which is 67% owned by the Norwegian government. While the company is beginning to expand into alternative energy, the bulk of their profits come from oil exploration, refining and distribution (Statoil owns and operates over 2000 gas stations worldwide).

2. Grupo Ferrovial - A Spanish conglomerate involved in transportation and urban infrastructure services.

3. Walt Disney Company - The house that Mickey built is the only US-based company in the top 5. Some of their more interesting initiatives include: running Disneyland trains on biodiesel made with cooking oil from the resort's hotels, establishing a worldwide conservation fund and instituting a "green standard" for all employees and cast members.

4. Edison - Founded in 1884, this Milan-based firm is Europe's oldest energy company. Despite its age, Edison is one of the leading renewable energy providers in Europe with 68 hydroelectric facilities, 29 wind farms, and one solar facility currently online (17% of the company's installed capacity is in renewable and is their fastest growing segment).

5. ENI - Another Milan-based energy company, specializing in oil, gas E&P as well as petrochemicals. In 2010, ENI was named the best company in the world for the online communication of its corporate social responsibility initiatives in the annual survey conducted by Lundquist, which analyzed the 91 companies listed in the Dow Jones Sustainability Index.

6. Whole Foods Market - The supermarket chain that brought organic products to the mainstream American consumer. Given Whole Foods' longstanding commitment to CSR issues, it's not a surprise to see it make this list.

7. Total - French oil and gas conglomerate with strong adherence to the principles of the UN's Global Compact.

8. (tie) Hochtief - Germany's largest construction company and a leader in the green real estate space, Hochtief is also a member of the Dow Jones Sustainability index.

8. (tie) Nestle - One of the largest food manufacturers in the world, in 2009 Nestle instituted "The Cocoa Plan" in an effort to encourage sustainability, labor rights and fair trade in the cocoa industry. But, like some of the other larger companies on this list, Nestle has been frequently criticized for their questionable business practices and alleged greenwashing.

10. (tie) NextEra Energy - Formerly known as Florida Power & Light, NextEra rebranded themselves in 2009 in an effort to disassociate themselves from a regional sounding name (they operate in 28 US states and Canada) and to highlight their aggressive move into renewable energy. NEE is the largest owner and operator of wind power farms in the US and second only to Iberdrola in the world (44% of NEE's total energy output comes from wind power).

10. (tie) Weyerhaeuser - one of the biggest players in the global forest products industry, Weyerhaeuser owns 6.6 million acres of commercial timberland worldwide and another 15.2 million acres on long-term leases in Canada. According to their website, 99% of these forests are certified to sustainable forestry standards.

Can Disney climb to head the ranking in the CSR field?

"Disney the CSR Giant"

The Walt Disney Company unveiled a comprehensive plan to go green and reduce its overall environmental impact. The company's full corporate responsibility report outlines a three-to-five year plan that aims to achieve several goals at Disney's parks and resorts such as cutting greenhouse emission gas by 50%, reduction of electricity consumption by 10% as well as minimization of waste by 50%.

Current scientific conclusions indicate that reductions in greenhouse gas emissions are required to avert accelerated climate change. This challenge demands fundamental changes in the way society, including businesses such as Disney, use natural

resources. Disney's approach to greenhouse gas emissions goals follows a hierarchy of avoiding emissions, reducing emissions through efficiency, replacing high-carbon fuels with low-carbon alternatives and then using high-quality offsets for our remaining emissions.

Disney is focused on taking steps to be more efficient in electricity consumption, to procure clean electricity from utilities and to invest in clean energy projects.

On the other hand

Healthy ecosystems provide many benefits to Disney and the communities in which we work and live. Disney focused on implementing an ecosystem management strategy designed to deliver a net positive impact.

Disney is strongly committed to reducing the risk of injury and illness to its employees, and to manage problems that do occur. Disney utilizes a team-based safety strategy centered on the belief that safety is everyone's responsibility and rests with each employee.

Disney partners with parents in their quest to raise healthy, happy kids, and recognize its unique ability to help parents and kids make positive lifestyle choices. Disney Magic of Healthy Living program associates Disney brands and characters with a more nutritionally balanced range of foods, offering healthier options at all its parks and with its licensed foods, and inspiring healthier lifestyles among kids.

Playing outside is critical to keeping kids physically fit. Studies also show that play is important in the development of children's imagination and cognitive and emotional strength. Disney Magic of Healthy Living is helping to expand access to play — working to build community playgrounds, provide creative play spaces and support active play instruction.

Disney encourages parents to be actively engaged with their children in viewing Disney content or experiencing Disney movies, parks and online platforms. Throughout its entertainment offerings, Disney provide forums and content that both value and respect children



and give adults a point of connection to the children in their lives.

Disney is committed to appealing to broad audiences and reflecting the diversity and multiculturalism of its audiences and the world. Disney believes that diversity of content is integral for the growth and viability of Disney, and that it allows it to engage and remain relevant to a broader community of viewers.

Since Disney's earliest days, a guiding philosophy has been to act as a compassionate and generous company that leverages its resources to bring happiness, hope and laughter to the lives of children and families in need and promotes a culture of "giving back."

Disney is focused on ensuring that future generations have experiences and opportunities that help them develop lifelong conservation values through nature exploration. Disney also recognizes that it can help inspire and support parents by sharing with them the value of nature and how it nurtures the development of healthier kids and families.

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Proserv Egypt Group

Proserv group became a leading petroleum service company in the whole Middle East region; it provides a wide pack of services at a very high level of professionalism.



By Proserv

Proserv Egypt became an international company in a very short time. Although Proserv is a new company it managed to gain a lot of credibility for its work and expanded rapidly and had a very huge success in the oil and gas market upon that the board of directors decided to open new branches across the globe, it now has 3 offices in Egypt based in Cairo, Alex and Suez and it continues to expand its activities widely, opening new offices throughout Europe and Middle East to serve the gulf region and also north Africa, while expanding their operations their main aim in the near future will be focused on Libya and Sudan.

Proserv achieved this growth by bringing together a strong knowledge base, dedication to its client's satisfaction, with highly motivated, empowered staff to provide their clients and society with highest quality, reliable, and integrated services that usually exceed expectations. They managed this growth by bringing expert on-site management and outstanding technical resources, Uncompromising emphasis on training and development for all their team members, unparalleled commitment to quality and execution and most of all genuine care and compassion for their client's welfare.

Throughout this expansion Proserv has now opened a new company called "Prolog" which provides a new pack of services that lead them into the forwarding and shipping service sector & they are currently dealing with biggest shipment clients worldwide. They bring together a wealth of talent, shared values

and a strong commitment to develop vital transportation worldwide resources. They believe that they are able to provide objective transportation solutions that make the difference in securing global businesses.

As for the Tele- communication sector it has a subsidiary company "Pro communication", which is now the biggest agency for the biggest telecommunication brands worldwide in the communication sector. With a proven track record in the satellite, & communications services industry spanning some twenty years, they have successfully installed more than 250 systems in four continents for their clients. Today, pro communication provides end-to-end voice, data and multimedia telecommunication services throughout Europe, Middle East, Africa and Asia. With their combination of satellite ground systems, local presence, leading-edge last-mile wireless technology, applications and high-speed global access. With a proven systems integration heritage, they can offer its clients turnkey capability including design, procurement, and implementation, operations, and maintenance and project management.

With Proserv growing widely at a fast pace, according to their expansion Proserv is now heading towards Libya and Sudan in the oil and gas field. Libya is a member of the Organization of Petroleum Exporting Countries (OPEC), holds the largest proven oil reserves in Africa. According to the 2011 BP Statistical Energy Survey, Libya had proved oil reserves of 46.422 billion barrels at the end of 2010, equivalent to 76.6 years of current production and 3.35 % of the world's reserves.

Libya is Africa's major oil producer and one of Europe's biggest North African oil

suppliers. Supplies from North Africa to Europe destinations have the advantage of being both timely and cost effective. According to the 2011 BP Statistical Energy Survey, Libya produced an average of 1659 thousand barrels of crude oil per day in 2010, 1.97% of the world and a change of 0.4 % compared to 2009. Libya's economy, based on oil and exports contributes between 75% and 90% of State revenues.

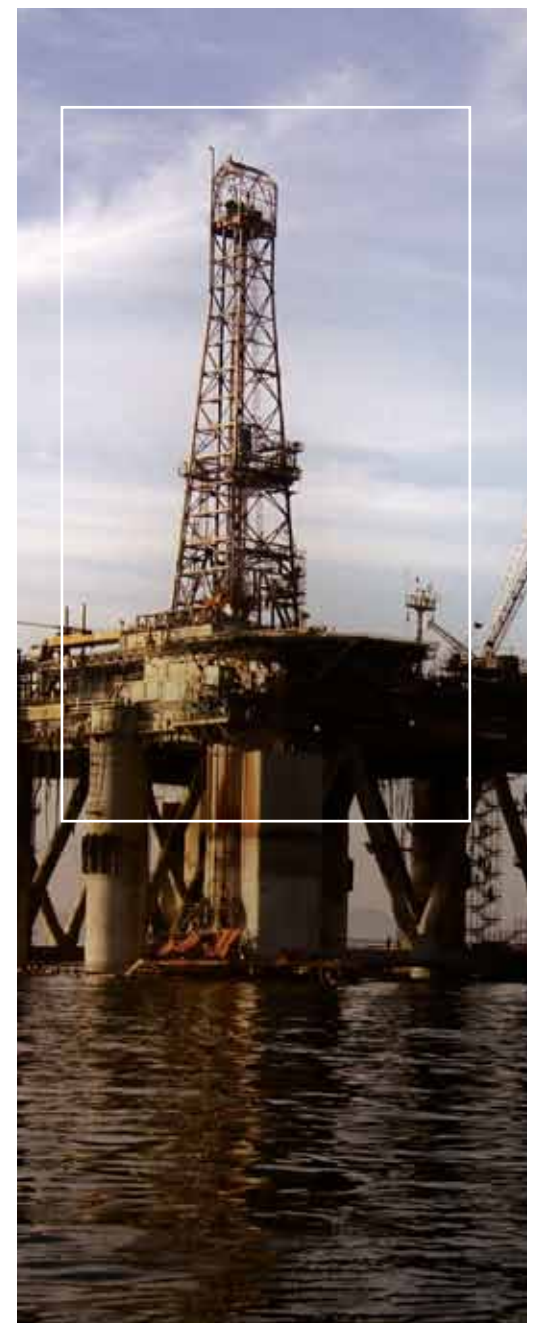
Libya has very low production costs and the oilfields are close to the refineries and markets of Europe. In addition, despite almost half a century of exploration, Libya remains largely unexplored with vast oil and gas potential. The under-exploration of Libya reflects the impact of sanctions formerly imposed on the country.

As for Sudan according to the 2008 BP Statistical Energy Survey, Sudan had proved oil reserves of 6.614 billion barrels at the end of 2007 or 0.53 % of the world's reserves.

So far Sudanese oil exploration has been limited to the central and south-central regions. The upstream oil industry could be the key to the future of the economy of the North East African state of Sudan. Although the country is considered to be vastly under-explored, it has been a producer of oil and gas for a number of years. The country's oil and gas reserves are vast. The downstream oil industry in Sudan is an important sector in the country's economy as Sudan has three refineries and imports both refined product and crude oil. The completion of a new refinery has made Sudan largely self sufficient and able to export refined as well as crude products. However, Sudan still needs to import jet fuel.

The industry is regulated by the Ministry of Energy and Mining. The Ministry of

Finance and Planning is also involved in the energy sector. Its representatives are members of the Petroleum Affairs Board which is responsible for final approval of petroleum contracts. However, day to day control of the oil industry is exercised by the Exploration and Production Authority, a state owned entity.



Mapping Sensitive Habitats and Environmental Conditions in the Mediterranean

Offshore oil and gas projects in the Mediterranean are subject to an increasing level of regulation that stipulates Environmental Baseline Surveys (EBS) and Environmental Impact Assessment (EIA) must be carried out prior to any works in the marine environment. Fugro's wide range of offshore survey capabilities include capacity to undertake a variety of environmental surveys for the purposes of satisfying the aforementioned regulatory requirements, resource allocation and informing sound management of Marine Protected Areas (MPAs).

By Fugro



Deploying the high-resolution camera system using 'taglines' and A-frame at stern of survey vessel

Fugro's principal environmental services are based on Environmental Baseline Surveys and Habitat Investigations. EBS are required and routinely executed in the Egyptian Mediterranean and Red Sea to describe the physical and chemical features of the seabed, prior to developmental works such as oil and gas projects, seabed pipeline installations and submarine telecommunications infrastructure. The aim of these surveys is to provide a 'snapshot' of the pre-development character of the sediments and waters in the survey area, so that during the implementation and operation of the project and, ultimately, following its decommissioning, the environmental impact can be quantified, qualified and, if necessary, remediated. Fugro's field scientists are equipped to devise comprehensive seabed sampling campaigns that will capture the full range of sediment types, depths and benthic features. In this way, the historic or potential effects 'footprint' of an installation may be qualified or predicted. Using a variety of physical and chemical metrics, pre-existing contamination may be described and attributed using chemical and

consequently, establishing the 'normal' baseline conditions and the origin of the substances present is crucial. It is therefore of paramount importance that we are able to differentiate contaminants and pollutants that may arrive at the development site from those that arrive there as part of the natural cycling of marine detritus and riverine input. This is possible as Fugro has a specialist hydrocarbons laboratory specialising in analysis of marine sediments in general and aliphatic fingerprinting in particular. Using specialist wet extraction techniques specifically designed for marine sediments, followed by ICP-MS and gas chromatography, Fugro are able to speciate hydrocarbon alkanes and forensically identify the source of contaminants and therefore derive whether they are naturally occurring or of anthropogenic origin.

Fugro's in-house services also include Environmental Consulting specialists and analytical laboratories providing experts in permitting, EIA and formulation of mitigation strategies and chemical analytics, geotechnical analyses and experienced professional taxonomists for macrofaunal identification and enumeration. Incorporating these services allows the streamlining and integration of the entire marine environmental survey process, enabling every stage of the field survey, analytical and reporting processes to be delivered from within Fugro.

Fugro's second principal service comprises Habitat Investigations, required for to establish the presence of sensitive biological communities. Using geophysical data acquired for the project, Fugro's experienced marine biologists can interpret the acoustic data and categorise the seabed into sediment types and identify regions or features that warrant further investigation through sediment sampling and seabed photography. This involves the careful deployment of high-spec camera and video systems to the seabed in surveillance of rare, sensitive or endangered species such as coral reefs, seagrass beds, biogenic reefs, fish spawning grounds and carbonate structures, formed from the escape of leaking gases. For contractors, it is vitally important to fully understand the 'quality' and extent of sensitive habitats so that they may plan and develop in a way that limits, or entirely avoids, environmentally damage.

The variety of equipment required for environmental surveys of this type is vast and requires rigorous prior preparation and planning; this means that equipment is maintained to a high standard and field scientists can gain training in-house on the exact equipment they will be expected to use at sea, combined with a comprehensive project briefing. The combination of these factors means that Fugro's field teams can always deliver high-quality data in challenging circumstances; field scientists are highly qualified and equipped to respond in-field to all manner of challenges encountered during survey operations. Excessive water depths, seabed currents and adverse weather conditions are difficult to assess prior to arriving on site, and mental agility, health and safety awareness and good decision-making ability are pre-requisites. The equipment required for a comprehensive baseline survey and habitat investigation comprises a diverse blend of sediment sampling gear including Day grabs and dual van Veen grabs for sandy/silty sediments up to moderate depths, Hamon grabs for coarse sediments and gravels, and Box corers for water depths exceeding 300 metres and mixed,

consolidated sediments and clays. Characterising the properties of the water column is achieved using multi-parameter probes that can capture continuous data of all the physical and chemical properties in a single deployment, rendering a 'depth profile' of the water, supplemented by discrete water sampling using remotely-triggered devices.

Investigating seabed habitats is achieved by deployment of a custom-built frame-mounted camera system comprising high-resolution stills/video capture, lamps and strobe flash with positioning beacon and altimeter. Using this, photographic data describing the seabed habitats can be accurately positioned to inform clients as to the exact location of sensitive seabed natural resources. The systems are deployed via a lift wire, and can be fed into existing multi-core winch cables on the vessel allowing the teams to operate from any industry standard geophysical survey vessel.

Fugro routinely work in the waters surrounding Egypt, both in the Mediterranean and Red Sea. Numerous projects have been undertaken offshore Egypt in recent years and the diversity of conditions observed belies the Mediterranean Sea's relative size. The Nile Delta provides a significant source of freshwater to the Mediterranean, that brings with it both nutrients and contaminants and sculpts a varied geomorphology that presents a range of sediment types and complex bathymetry; a fascinating setting for a complex, large scale Environmental Baseline Survey, supplemented with a detailed Habitat Mapping campaign.

Recent surveys carried out in the Mediterranean have unveiled bathymetric features of astonishing size and complexity that were previously unknown to science, which in turn provide a variety of biological niches that may be exploited by different organisms. Recent surveys have encountered giant submarine mud volcanoes, channel systems and relict landslides radiating out into deep waters from the west Nile delta. These were shown to be populated a variety of sensitive seabed habitats such extensive Maerl beds, a species of coralline red algae that forms solid, lattice-like calcareous substrates at particular depths on the seabed. Historically dredged and ground for fertilizer in the UK and abroad, its use is now questionable in a world where sustainable development is paramount and alternatives are readily available.

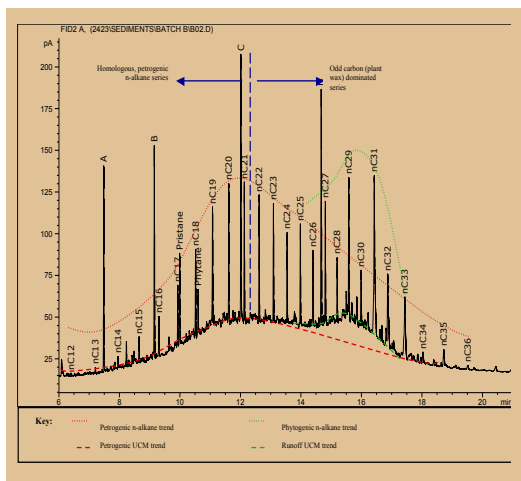
Consequently, it is listed in Annex V of the EC Habitats Directive. Maerl beds are the calcified structures of rhodophytic algae, and their complex, three-dimensional structures provide breeding and nursery grounds, food and shelter to a host of other marine life.

Also observed in the Egyptian Mediterranean are the carbonate structures formed when methane, escaping from the gas pockets beneath the seabed, reacts with seawater to form uncanny structures known as Methane-Derived Authigenic Carbonates (MDAC). These structures accrete in soft, silty sediments where there is no consolidated footing for any marine life to colonise and grow. Forming solid pillars, plates or mounds on the seabed, they play host to a variety of marine life

in an otherwise desert-like marine environment. Commonly, these mounds are observed encrusted with an array of hydrozoans and bryozoans, minute colonial organisms related to corals that form dense structures that take on the appearance of feathers. Data acquired by Fugro field teams have led to the postulation that the Mediterranean benthic habitats may contain infaunal species that are entirely new to science. Marine habitats such as these, if not managed sensitively, will lose their ability to harbour higher life forms such as crustaceans (crabs and lobsters), echinoderms (sea stars and sea cucumbers) and fish. This, of course, has implications for fishing industries and consequently people's livelihoods, emphasising the importance of collecting high-quality data to facilitate sound decision-making and adherence to regulatory frameworks.

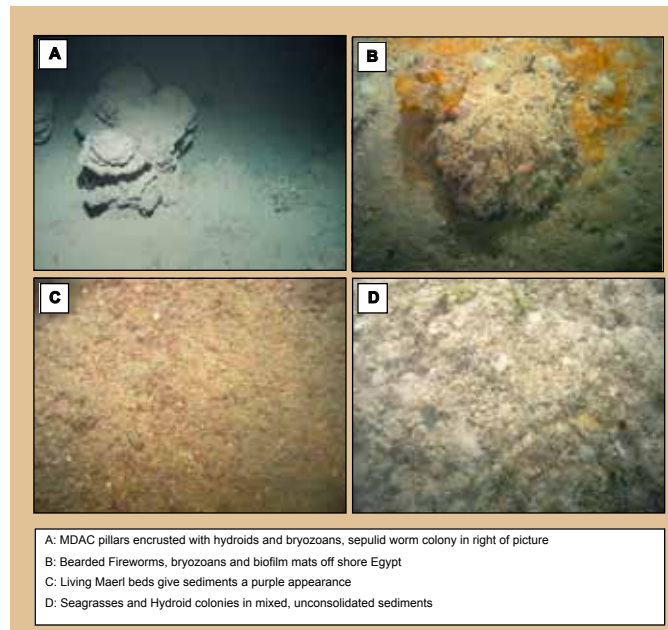
Collecting and interpreting data of this type is critical to future management of ecological and environmental systems. In an environment such as the Nile delta, geological processes have led to the accretion of substantial mineral reserves that co-occur with a complex and under-studied marine environment. Understanding environmental linkages through comprehensive monitoring surveys provides us with the data required to make the crucial decisions that will affect the millions of people who live and work on the shores of the Western Nile delta, and the wider Mediterranean environment. Data acquired can be utilised to formulate prevention and mitigation strategies for oil spills and contamination events, of which the socio-economic consequences, that may include contamination of drinking water, habitat destruction and disruption of feeding regimes of marine animals, would be utterly catastrophic.

Oil and gas projects enacted in the Mediterranean region have the revenue-generating ability to support the re-building of economies during difficult times. It is vital then that the environmental considerations of such projects keep pace and are scrutinised through rigorous research, surveying and monitoring, and impacts identified and thoroughly mitigated. Fugro offers a turn-key solution for every exploration and development project all the way from initial permitting and licensing through to final decommissioning and ensuring the seabed is returned to its pre-development state.



biological signals in the data.

Of principal concern is the degree of contamination in marine sediments by trace and heavy metals and hydrocarbons as indicators of anthropogenic (man-made) or natural impacts in marine environmental systems. Large river systems such as the Nile originate well inland on the African continent and will pass through several thousand of kilometres of varied land and vegetation types including agricultural land, desert, industrial and residential areas, flood plains and wadis before draining into the Mediterranean basin. This brings a significant source of nutrients, contaminants and plant matter to the Mediterranean Sea, and



WHEN EXPERTISE COUNTS...

Fugro collects and interprets data related to the earth's surface and the soils and rocks beneath and provides advice, for purposes related to the oil and gas industry, the mining industry and the construction industry.

Fugro operates around the world at sea, on land and from the air, using professional, highly-specialised staff and advanced technologies and systems.

Fugro SAE is the place to get access to the expertise available in the entire Fugro group of companies.

MV FUGRO NAVIGATOR

The Fugro Navigator is Egypt's first and only permanently equipped geo-science survey vessel. Dedicated to the local market, it is capable of geophysical, environmental, geotechnical and ROV surveys and represents a significant step forward from vessels of opportunity by offering: improved safety performance; the ability to respond quicker to requests for projects; hull mounted sensors providing more reliable and higher quality performance; reduced weather standby costs and reduced turnaround time for reporting.



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Microflux™ Control System Opens a Conventionally Inaccessible Offshore Drilling Operation in Egypt, Enhances Safety

By Weatherford

Objectives

Microflux control system delivers a system that eliminates the narrow-margin drilling problems such as lost circulation, pressure ramps, and a narrow drilling window of 0.2 lb/gal with variable mud weights and formation pressure uncertainty. It also provides a more precise method to predict and control the annular pressure profile while detecting and controlling loss and gain influxes. Last but not least, it enhances overall operational safety by gaining control of downhole events.

Results

Using the Microflux system at the surface, the operator achieved equivalent circulating density (ECD) management by using variable mud weights, controlling the surface backpressure (SBP), and monitoring the annular flow. The system has proven the capability to accurately determine the precise drilling pressure profiles such as pore pressure and fracture gradients by recording the bottomhole pressure where an influx from the formation and fluid losses occurred and performing formation integrity and inflow tests.

In addition, the Coriolis mass flow-meter supplies valuable information and helps distinguish between different types of well

events. Using the Microflux system, the operator achieves a high-pressure/high-temperature fingerprinting, ballooning identification and quantification, and management of the mud-weight program. These portions provided confirmation of a statically underbalanced condition during connections and verified the need to increase mud weight.

Value to Client

In a well identified to be unsafe and inefficient using conventional drilling technology, the managed pressure drilling (MPD) using the Microflux™ system eliminated numerous drilling-related problems during operations. It also enabled the operator to acquire well information that would have been challenging to obtain using conventional technology by performing formation integrity and inflow tests.

Using the SBP, the Microflux system promoted lowering mud weights and controlling the bottomhole ECD. The lighter mud weight balanced the hydraulic condition between the pore pressures and fracture gradients, enabling the operator to drill farther. Despite the high-formation temperatures, the Microflux system performed periodic dynamic inflow testing, dynamic formation integrity testing, and



Secure DrillingSM MPD services and the Microflux system improved operational performance during drilling operations.

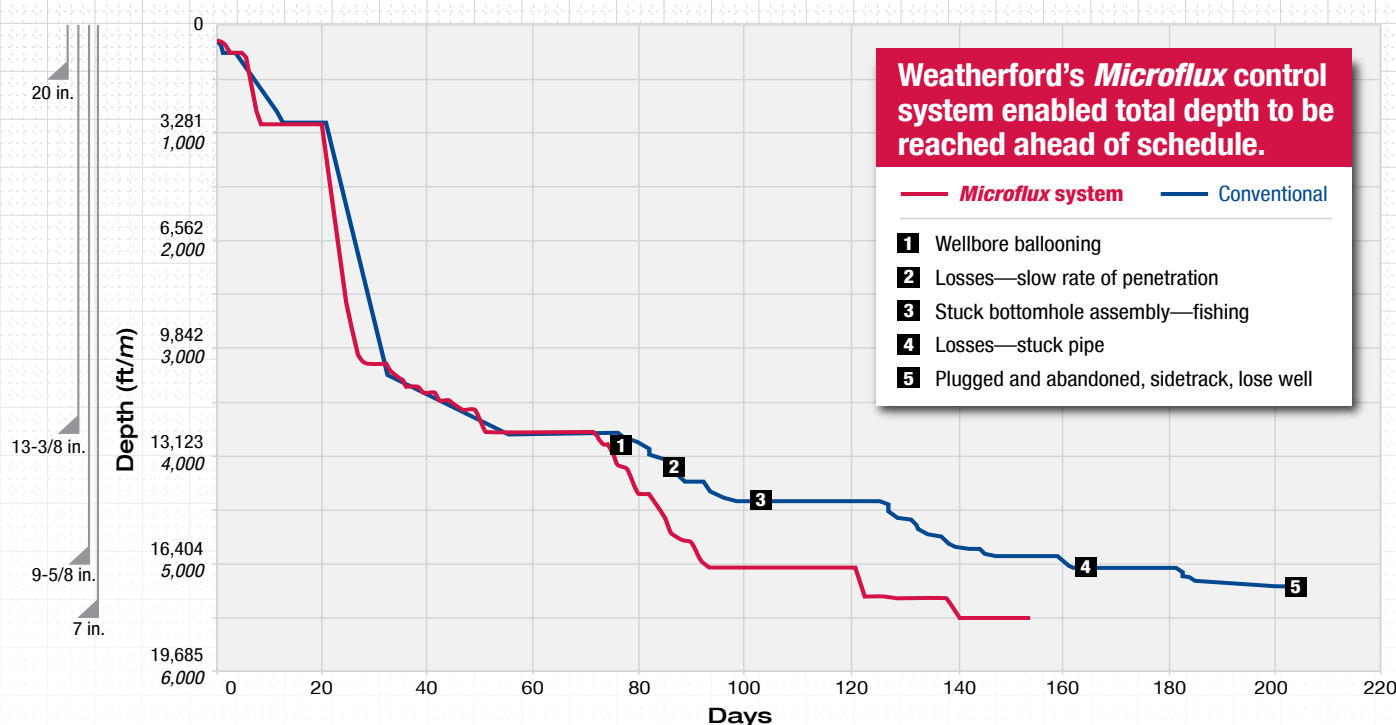


The operator drilled approximately 10,826 ft (3,300 m) using the Microflux system. The formation pressure across the wellbore ranged from -16.1 to -17.8lb/gal equivalent mud weight using a drilling window as narrow as 0.2 lb/gal across the -2/1 8in. section.

Location	Egypt	• 2/1-8 in.	• 6 in.
Formation	Not specified	Measured Depth	
Well Type	Offshore, vertical with side tracks	• 12,073 to 18,897 ft (3,680 to 5,760 m)	• 14,379 to 17,345 ft (4,383 to 5,287 m) side tracks
Rig Type	Jackup	Products/Services	
Hole Size	• 4/1-12 x 4/3-14 in.	• Secure DrillingSM services	• Microflux control system
	• 8/5-10 x 4/1-12 in.	• Model 7875 rotating control device	• Coriolis mass flowmeter

Control Change

Take control of changing wellbore flows and pressures with Weatherford's exclusive **Microflux™** control system



Our automated system measures, analyzes and controls changing wellbore conditions in real time. Now you can drill wells that were once considered undrillable.

Weatherford's Microflux control system is more than managed pressure drilling. It's secure drilling.

We call it **Tactical Technology™**. You'll call it money in the bank. Visit weatherford.com/microflux or talk to a Weatherford representative. We might change the way you look at all of your service needs.

The change will do you good™



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Drilling



Evaluation



Completion



Production



Intervention

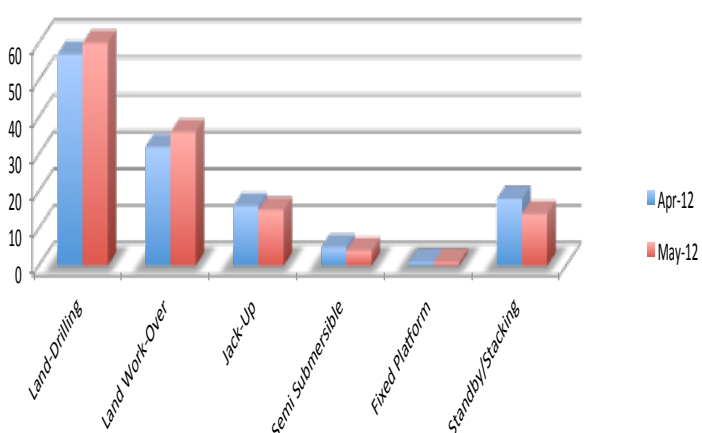
Egypt Statistics



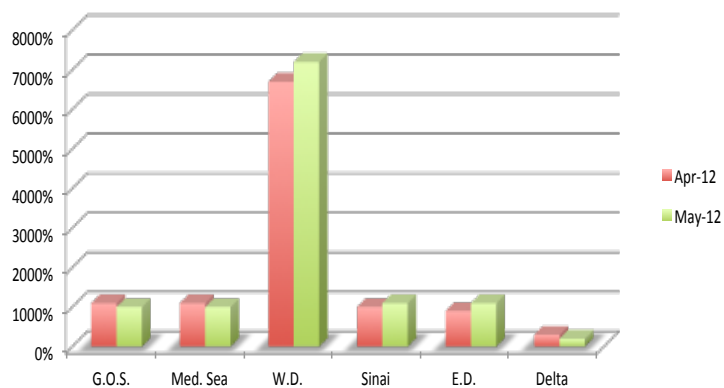
Table 1 Egypt Rig Count per Area – May 2012

RIG COUNT			
Area		Total	Percentage of Total Rigs
Gulf of Suez		10	9 %
Offshore	10		
Land			
Mediterranean Sea		10	9 %
Offshore	10		
Land			
Western Desert		72	62 %
Offshore			
Land	72		
Sinai		11	9 %
Offshore			
Land	11		
Eastern Desert		11	9 %
Offshore			
Land	11		
Delta		2	2 %
Offshore			
Land	2		
Total		116	100%

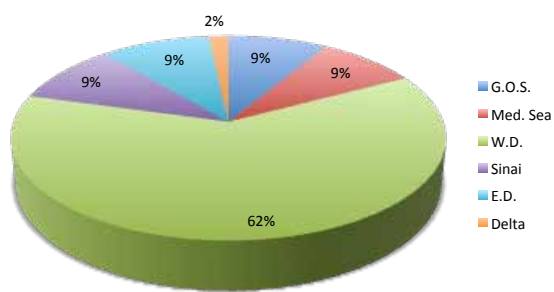
Rigs per Specification April - May 2012



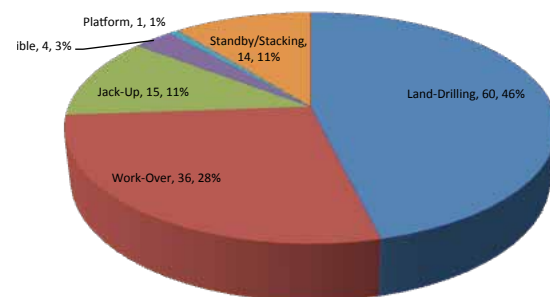
Rigs per Area April - May 2012



**Rigs per Area May 2012
(Total of 116 Working Rigs)**

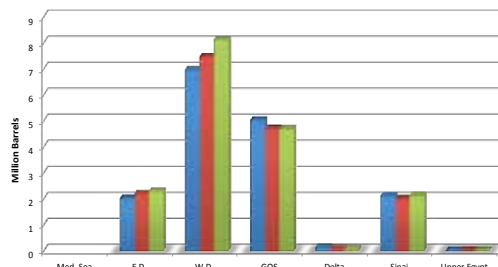


Rigs per Specification May 2012

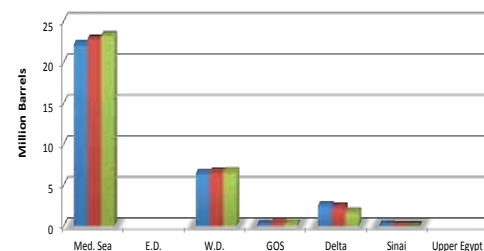


	Oil			Equivalent Gas			Condensate			Liquefied Gas		
	Barrel			Barrel			Barrel			Barrel		
	April-10	April-11	April-12	April-10	April-11	April-12	April-10	April-11	April-12	April-10	April-11	April-12
Med. Sea				22146071	22802679	23204107	1465105	1420768	1297642	385792	444636	415481
E.D.	2026788	2195318	2285060									
W.D.	6960139	7459375	8132428	6410536	6550893	6620536	1609472	1651415	1487470	481316	526103	527220
GOS	5026408	4711177	4693333	114464	313929	194643	67689	71409	59788	155594	180356	176454
Delta	144610	94783	89432	2471786	2300536	1685536	203340	184624	142110	94695	100260	89245
Sinai	2134146	2020443	2137205	67143	22857	357	47793	35330	34778	70643	80681	83903
Upper Egypt	16838	24495	15696									
Total	16308929	16505591	17353154	31210000	31990894	31705179	3393399	3363546	3021788	1188040	1332036	1292303

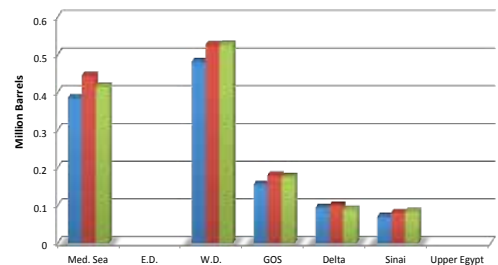
Oil Production April 2010 - 2012



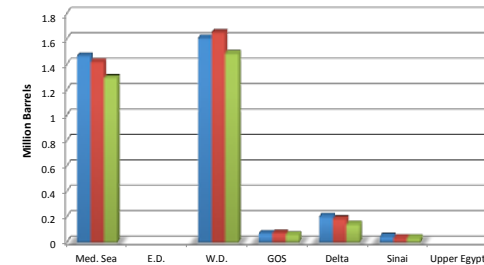
Equivalent Gas Production April 2010 - 2012



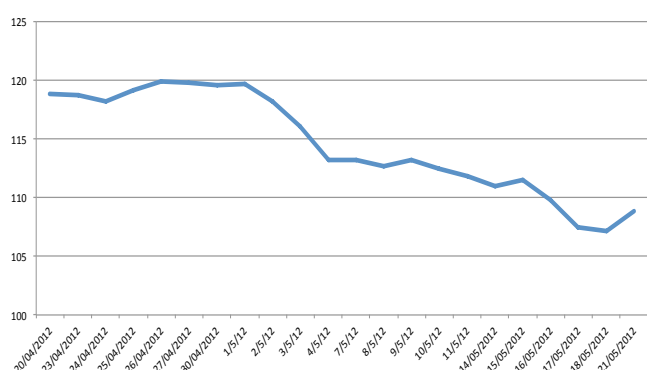
Liquefied Gas Production April 2010 - 2012



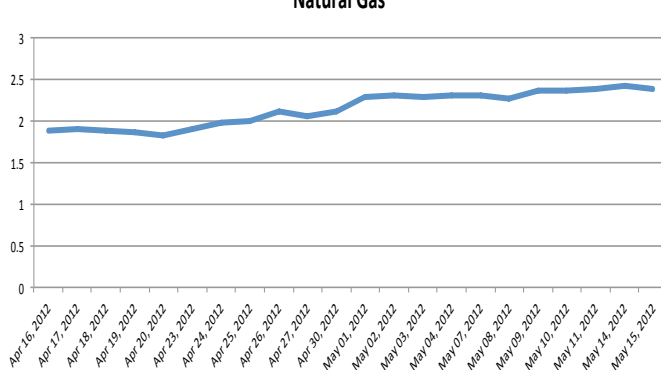
Condensates Production April 2010 - 2012



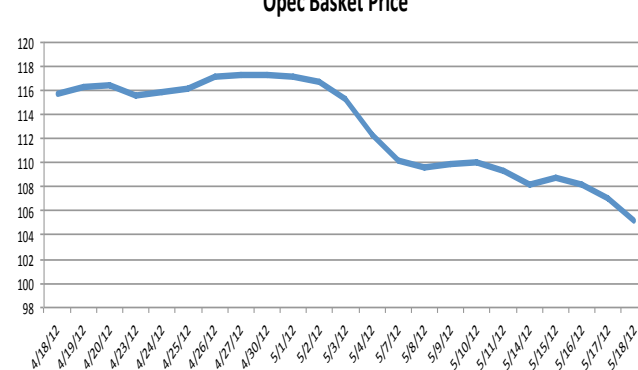
Brent Price



Natural Gas



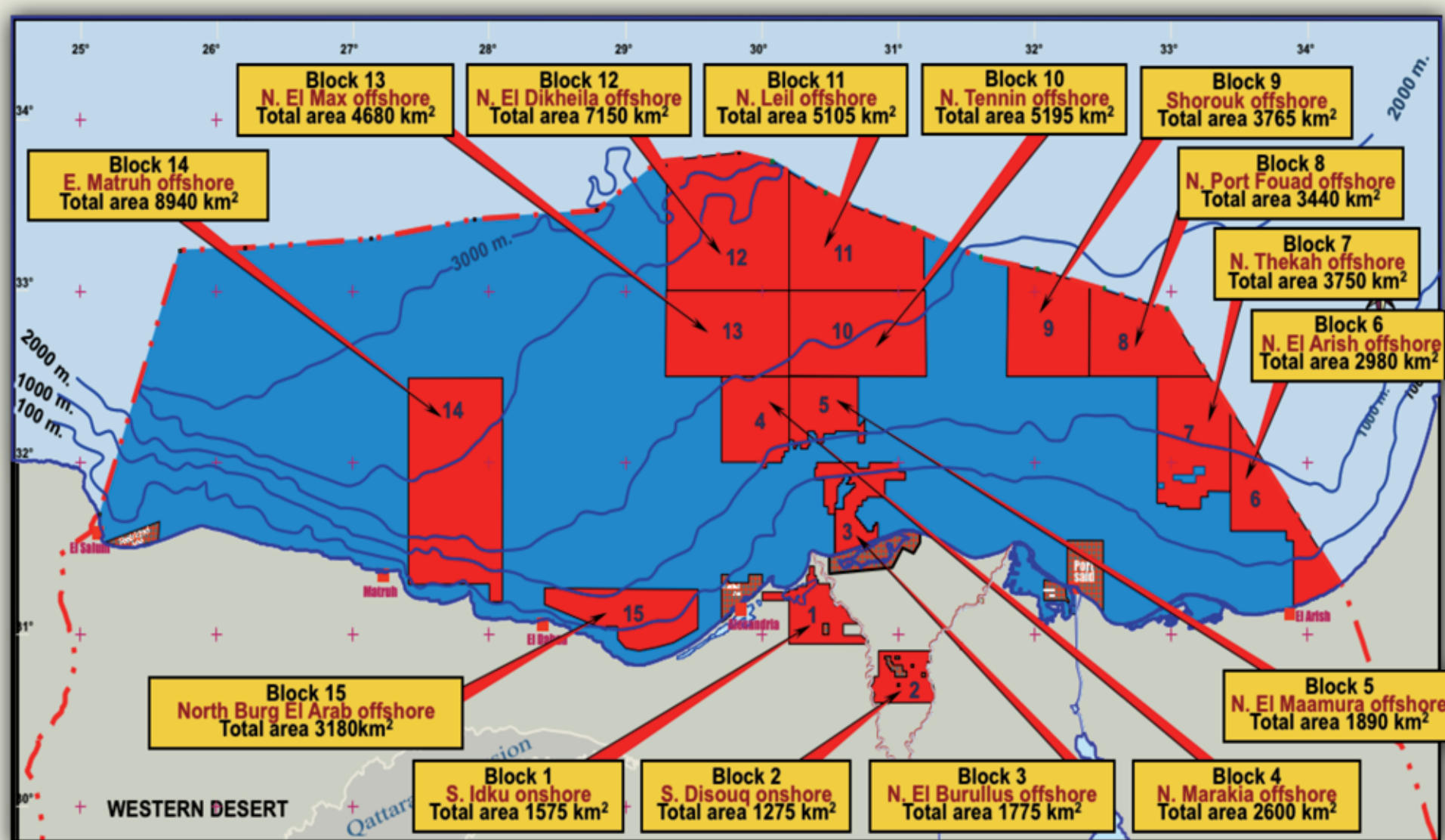
Opec Basket Price





EGYPTIAN NATURAL GAS HOLDING COMPANY BID ROUND 2012

TO EXPLORE / EXPLOIT FOR GAS AND CRUDE OIL
IN MEDITERRANEAN SEA AND NILE DELTA (15 BLOCKS)



15 BLOCKS – BID ROUND 2012 Open Areas Restricted Areas

Bid Round Closing Date: 14th of November, 2012; at 12:00 – 0'clock at noon
(Cairo local time)

The Egyptian Natural Gas Holding Company (EGAS) invites Petroleum Exploration Companies for the 2012 International Bid Round to explore/exploit for Gas and Crude Oil in Egypt.

This Bid Round includes (15) Exploration blocks in the Mediterranean Sea & Nile Delta basins of Egypt as shown in the map. Interested companies shall submit their offer(s) based on the Procedures, Main Terms and Conditions and the Production Sharing Model Agreement. Any offer(s) with new terms or conditions, other than the Terms and Conditions mentioned herein, shall be disregarded.

Starting on Monday, June 4th, 2012, interested companies are welcomed to contact EGAS to review and/or purchase a Principal Data Package (2D seismic and well data), well reports and 3D seismic data for a certain block or blocks.

For further information, please contact: Vice-President for Agreements & Exploration

Telephone: +202 24055830-31

Fax: +202 24055832

E-Mail: bidround@egas.com.eg